



2024 ANNUAL REPORT

Acadian Timber Corp. (“Acadian” or the “Company”) is one of the largest timberland owners in Eastern Canada and the Northeastern U.S. and has a total of approximately 2.4 million acres of land under management. Acadian owns and manages approximately 775,000 acres of freehold timberlands in New Brunswick and approximately 300,000 acres of freehold timberlands in Maine and provides timber services relating to approximately 1.3 million acres of Crown licensed timberlands in New Brunswick.

Acadian’s primary business is forest management and the production of timber products, including softwood and hardwood sawlogs, pulpwood, and biomass by-products, sold to approximately 90 regional customers. Acadian also generates income through other operations, including real estate and environmental solutions.

Acadian’s business strategy is to maximize cash flows from its existing timberland assets through sustainable forest management and other land use activities while growing its business by acquiring assets and actively managing these assets to drive improved performance.

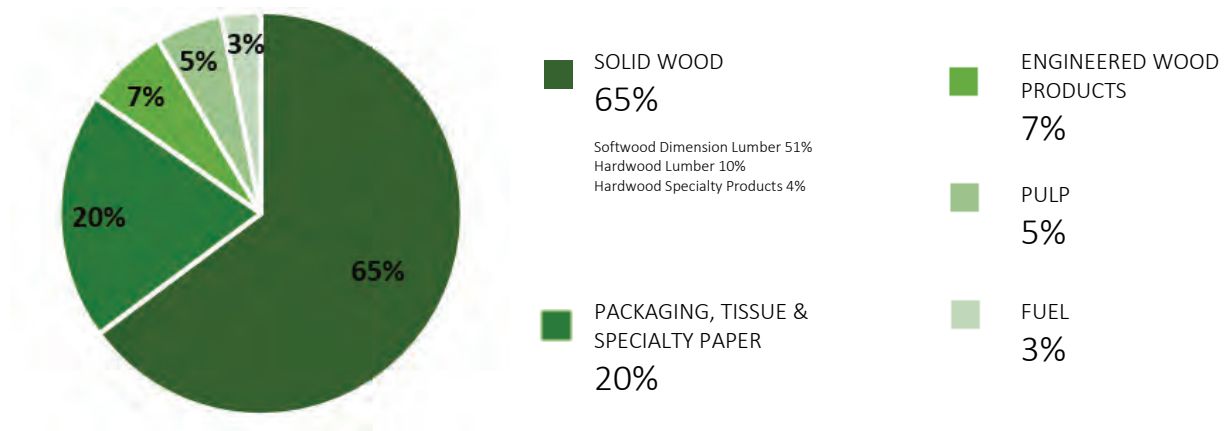
ACADIAN’S LOCATIONS

FOREST AREAS		ACRES	HECTARES
MAINE TIMBERLANDS		300,000	121,000
NEW BRUNSWICK TIMBERLANDS		775,000	313,000
CROWN LANDS UNDER MANAGEMENT		1,326,000	537,000
AREA UNDER MANAGEMENT		2,401,000	971,000



ACADIAN’S TIMBER PRODUCT MIX BY END USE*

Acadian sells a wide variety of timber products to a broad group of customers. Acadian’s greatest exposure is to softwood sawlogs; however, markets for hardwood sawlogs, hardwood and softwood pulpwood, and biomass diversify our sales.



*Percentage of log sales by value for the year ended December 31, 2024

2024 HIGHLIGHTS

- Sold 752,100 voluntary carbon credits related to our first carbon credit project for gross proceeds of \$24.6 million
- Generated total sales of \$116.2 million, Adjusted EBITDA¹ of \$38.9 million, Free Cash Flow¹ of \$29.7 million and net income of \$21.7 million, despite challenging timber markets
- Declared dividends to shareholders of \$20.3 million, or \$1.16 per share
- Advanced real estate activities and acquired 16,000 acres of timberlands in New Brunswick at value
- Developed renewable energy opportunities and installed a meteorological wind data tower
- Successfully renewed Sustainable Forestry Initiative® certification

FINANCIAL HIGHLIGHTS

<i>Years Ended December 31</i> <i>(CAD thousands, except where indicated)</i>	2024	2023	2022
Timber sales volume (000s m ³)	977.2	894.2	917.8
Carbon credit sales volume (000s credits)	752.1	1.5	—
Timber sales and services	\$ 91,597	\$ 93,440	\$ 90,473
Carbon credit sales	\$ 24,588	\$ 37	\$ —
Adjusted EBITDA ¹	\$ 38,893	\$ 20,586	\$ 18,194
Free Cash Flow ¹	\$ 29,733	\$ 14,999	\$ 12,151
Net income	\$ 21,738	\$ 29,434	\$ 35,507

1. Adjusted EBITDA and Free Cash Flow are key performance measures in evaluating Acadian's operations and are important in enhancing investors' understanding of the Company's operating performance. Adjusted EBITDA is indicative of the underlying profitability of Acadian's operating segments and is used to evaluate operational performance. Free Cash Flow is used to evaluate Acadian's ability to generate sustainable cash flows from operations that are available for dividends, repurchases of common shares, debt reduction, acquisitions, and other capital allocation activities. Acadian's management defines Adjusted EBITDA as net income before interest, income taxes, fair value adjustments, non-cash cost of sales related to carbon credits, recovery of or impairment of land and roads and depreciation and amortization. Free Cash Flow is defined as Adjusted EBITDA less interest paid, current income tax expense, and capital expenditures excluding acquisitions of timberlands, plus net proceeds from the sale of timberlands and other fixed assets (proceeds less gains or losses). As these performance measures do not have standardized meanings prescribed by International Financial Reporting Standards, they may not be comparable to similar measures presented by other companies. Please refer to Management's Discussion and Analysis for further details.

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LETTER TO SHAREHOLDERS

Overview

The year ended December 31, 2024 for Acadian Timber Corp. (“Acadian”, the “Company” or “we”) was marked by several notable achievements. We realized our first significant sale of voluntary carbon credits, expanded our real estate activities and achieved solid results from our timber operations despite challenging end use markets.

Demand for our timber products remained stable, reflecting the favourable attributes of Northeast regional log markets. We met this demand and increased our volumes over the prior year through the hard work by the Acadian team to improve contractor availability, particularly in New Brunswick.

Timber pricing was impacted by changes in product mix and weak end use markets resulting in lower overall timber sales.

Continued Commitment to Safety and the Environment

Acadian’s commitment to health and safety is our top priority as we believe that emphasizing and achieving a good safety record is a leading indicator of success in the broader business.

During 2024, there were eight recordable safety incidents among employees and contractors. These were mostly minor incidents that resulted in minimal lost time. Incident reduction will be a primary focus for 2025.

Both the New Brunswick and Maine operations completed annual surveillance audits under the 2022 Standard of the Sustainable Forest Initiative® with no non-conformances; a testament to the sustainability of our operations.

Financial Performance

Total sales were \$116.2 million in 2024, compared to \$93.5 million in the prior year. Timber sales and services contributed \$91.6 million to sales and the sale of voluntary carbon credits contributed an additional \$24.6 million.

The Company’s Adjusted EBITDA² totaled \$38.9 million in 2024, compared to \$20.6 million during 2023. Acadian declared dividends to its shareholders of \$20.3 million, or \$1.16 per share, and generated Free Cash Flow² of \$29.7 million.

Timber sales and services

Demand for softwood sawlogs was steady in the regions in which Acadian operates. A favourable change in customer mix shifted harvesting volumes from Crown licensed

timberlands to our freehold timberlands, increasing our freehold sales and decreasing our timber services revenue, as compared to 2023. Softwood sawlog pricing was impacted by changes in product mix and softwood lumber pricing, which remained below historical averages for much of the year. Softwood pulpwood demand started strong early in the year but was curbed in the second half of the year by abundant regional sawmill residuals. Softwood pulpwood pricing remained stable.

Weakness in hardwood lumber markets put downward pressure on hardwood sawlog prices, but demand for Acadian’s hardwood sawlogs remained stable. Hardwood pulpwood demand was steady through 2024, while pricing decreased as a result of shorter hauling distances, as compared to the prior year.

Greater softwood sawlog hauling distances and higher contractor rates increased variable costs but were partially offset by changes in product mix and lower fuel adjustment costs.

Voluntary carbon credit sales

During 2024 Acadian sold nearly all of the first tranche of registered voluntary carbon credits related to our ongoing carbon credit project in Maine. The sales were comprised of 752,100 voluntary carbon credits at an average price of approximately U.S.\$24/credit.

Real Estate¹

We continue to see a multitude of possibilities to maximize cash flows from our timberland assets through increased real estate activity.



Land Acquisitions

In March 2024, Acadian completed the acquisition of approximately 16,000 acres of timberland in New Brunswick for \$9.0 million. These timberlands are in close proximity to Acadian's existing operations and customer base. The property is well stocked, benefiting from historical silviculture investments, which will allow Acadian to expand its harvesting operations. The property also presents significant potential for revenue diversification through other land use opportunities.

Land Sales

In October 2024, Acadian entered into an agreement to sell approximately 2,100 acres of timberland. The land included in the disposition is composed of smaller parcels of relatively low operational or strategic value to Acadian. The sale of approximately 1,800 acres closed in November 2024 for gross proceeds of \$1.1 million and a net gain of \$0.3 million. The remainder of the transaction is expected to close in the first half of 2025.

Renewable Energy

In February 2024, Acadian executed an agreement for the option to lease approximately 10,000 acres of its Maine timberlands for the purpose of the development, construction, operation, and maintenance of a solar powered electric generating facility. The agreement includes inspection, development, construction, and commercial operations terms with escalating leasing fees. The incremental cash flows attributable to the inspection and development terms are modest. However, should the project reach the construction term, which is not expected to occur for several years, the incremental cash flows may become material to Acadian.

In November 2024, Acadian installed a meteorological tower to collect wind data on the New Brunswick land base. This investment enables further exploration of the opportunities available to Acadian to participate in the renewable energy sector.

Environmental Solutions¹

After selling nearly all of our currently registered voluntary carbon credits in 2024, our inventories are expected to be replenished in the near term. The registration process for the second and third tranches of carbon credits for the ongoing project is expected to result in approximately 0.4 million credits in total and is expected to be completed in the first quarter of 2025.

Acadian's project is registered on the ACR under the name Anew – Katahdin Forestry Project, and requires balancing

harvest and growth, long-term planning, periodic carbon inventory verification, and maintenance of Acadian's sustainable forestry certification. The project is expected to generate an additional 0.8 million credits related to reporting periods four through ten.

This project has provided valuable experience to the Acadian management team and has formed the foundation for potential further carbon credit developments in the future.

Internal Harvesting Operations¹

With the goal of expanding our harvesting capacity in Maine and reducing operating costs, Acadian has established its own internal harvesting operation.

In January 2025, subsequent to year end, Acadian purchased several pieces of harvesting equipment and hired equipment operators, who have begun harvesting on our Maine timberlands.

On February 10, 2025, Acadian signed an agreement to purchase certain logging and related assets of A & A Brochu, LLC ("A & A Brochu") and its affiliates for a total price of U.S. \$4.8 million to further expand its internal harvesting operations. The assets include harvesting, trucking and road working equipment and related real estate which, combined with an established workforce, constitute a portion of A & A Brochu's logging operation in Maine. A & A Brochu has provided contractor services to Acadian for many years. The transaction is expected to close in the second quarter of 2025.



Outlook¹

Near-term pressures on end use markets persist and potential tariffs are causing concern among forest products companies in both the US and Canada. However,

North American interest rates and inflation are showing signs of easing, and the consensus forecast for U.S. housing starts is steady at approximately 1.36 million starts in 2025, as compared to 1.35 million in 2024. We therefore remain confident that the stability of the northeastern forestry sector, combined with long-term demand for new homes and repair and remodel activity, will support the long-term demand for our products as has been demonstrated in recent years.

Labour markets remained tight in Maine, but we maintained sufficient contractor availability in New Brunswick through the fourth quarter, which is expected to continue into 2025. Subsequent to year end, we started increasing harvesting capacity in Maine through the establishment of our own harvesting operations. We do not expect an immediate significant impact on our financial results, but we do expect to increase production and reduce operating costs in Maine over the course of 2025.

Demand for Acadian's sawlogs is mainly driven by regional supply and demand. Near-term sawlog demand is expected to remain stable while pricing may remain challenged until end-use markets improve. Demand and pricing for softwood pulpwood is expected to remain at reduced levels in the near term due to abundant regional sawmill residuals and hardwood pulpwood is expected to be steady.

With respect to voluntary carbon credits, demand and pricing are expected to remain stable. The protocol for developing compliance market carbon credits from managed forests in Canada was finalized during the year. Acadian is evaluating the opportunities to develop eligible carbon credits that the compliance protocol may present, in conjunction with the opportunities that exist under the current protocols.

Looking Ahead¹

We are energized by the startup of our own harvesting operation in Maine and look forward to a productive year ahead. In New Brunswick, we will continue actively working with our contractors to meet our harvesting goals and the delivery demands of our customers for 2025.

Through 2025, we will remain focused on safety and environmental performance, while obtaining the highest margins available for our products and making improvements throughout the business to maximize cash flows.

At Acadian, we have a remarkable asset base and outstanding people. Guided by the principles of sustainable forest management, we will continue to advance opportunities to deliver long-term value to our shareholders.

On behalf of the Board of Directors and management of Acadian, I would like to thank all our shareholders for their ongoing support.



Adam Sheparsi
President and
Chief Executive Officer
February 12, 2025

- 1. This Letter to Shareholders contains forward-looking information within the meaning of applicable Canadian securities laws that involve known and unknown risks, uncertainties and other factors that may cause actual results, performance or achievements to be materially different from any future results, performance or achievements expressed or implied by such forward-looking statements. Please refer to the section entitled "Cautionary Statement Regarding Forward-Looking Information and Statements" in Management's Discussion and Analysis for further details.*
- 2. Adjusted EBITDA and Free Cash Flow are key performance measures in evaluating Acadian's operations and are important in enhancing investors' understanding of the Company's operating performance. Adjusted EBITDA is indicative of the underlying profitability of Acadian's operating segments and is used to evaluate operational performance. Free Cash Flow is used to evaluate Acadian's ability to generate sustainable cash flows from operations that are available for dividends, repurchases of common shares, debt reduction, acquisitions, and other capital allocation activities. Acadian's management defines Adjusted EBITDA as net income before interest, income taxes, fair value adjustments, non-cash cost of sales related to carbon credits, recovery of or impairment of land and roads and depreciation and amortization. Free Cash Flow is defined as Adjusted EBITDA less interest paid, current income tax expense, and capital expenditures excluding acquisitions of timberlands, plus net proceeds from the sale of timberlands and other fixed assets (proceeds less gains or losses). Please refer to the section entitled "Non-IFRS Measures" in Management's Discussion and Analysis for further details.*



TIMBER MARKET OVERVIEW

Softwood Sawlogs – 51% of Freehold Timber Sales

Softwood sawlogs accounted for 51% of Acadian's freehold sales and 49% of freehold sales volume for the year ended December 31, 2024. Demand for softwood sawlogs was steady in the regions in which Acadian operates. Pricing was impacted by changes in product mix and softwood lumber pricing, which remained below historical averages for much of the year. Acadian's weighted average selling price per m³ decreased 7% during 2024.

Hardwood Sawlogs – 11% of Freehold Timber Sales

Hardwood sawlogs accounted for 11% of Acadian's freehold sales and 6% of freehold sales volume for the year ended December 31, 2024. Demand for Acadian's hardwood sawlogs remained stable. However, weakness in hardwood lumber markets put downward pressure on hardwood sawlog prices. Hardwood sawlog prices decreased 10% during 2024.

Hardwood and Softwood Pulpwood– 36% of Freehold Timber Sales

Hardwood and softwood pulpwood shipments accounted for 29% and 7%, respectively, of Acadian's freehold sales, and 29% and 9% of freehold sales volume, respectively, for the year ended December 31, 2024. Hardwood pulpwood demand remained stable while pricing decreased 2% from the prior year as a result of shorter hauling distances. Softwood pulpwood demand was strong in the first half of the year but abundant regional sawmill residuals later in the year reduced demand in the second half of 2024. Softwood pulpwood pricing increased 5% compared to the prior year.

Biomass – 2% of Freehold Timber Sales

Biomass accounted for 2% of Acadian's freehold sales and 7% of sales volume for the year ended December 31, 2024. Compared to 2023, volumes decreased 38% due to limited processing capacity and pricing decreased 43% as a result of roadside sales instead of delivered sales.

MANAGEMENT'S DISCUSSION AND ANALYSIS

(All figures in Canadian dollars unless otherwise stated)

February 12, 2025

INTRODUCTION

Acadian Timber Corp. ("Acadian", the "Company" or "we") is one of the largest timberland owners in Eastern Canada and the Northeastern U.S. and has a total of approximately 2.4 million acres of land under management. Acadian owns and manages approximately 775,000 acres of freehold timberlands in New Brunswick ("New Brunswick Timberlands" or "NB Timberlands") and approximately 300,000 acres of freehold timberlands in Maine ("Maine Timberlands") and provides timber services relating to approximately 1.3 million acres of Crown licensed timberlands in New Brunswick.

Acadian's primary business is forest management and the production of timber products, including softwood and hardwood sawlogs, pulpwood, and biomass by-products, sold to approximately 90 regional customers. Acadian also generates income through other operations, including real estate and environmental solutions.

Acadian's business strategy is to maximize cash flows from its existing timberland assets through sustainable forest management and other land use activities while growing its business by acquiring assets and actively managing these assets to drive improved performance.

Basis of Presentation

This management's discussion and analysis ("MD&A") discusses the financial condition and results of operations of the Company for the three months ended December 31, 2024 (herein referred to as the "fourth quarter") and the fiscal year ended December 31, 2024, compared to the fourth quarter and fiscal year ended December 31, 2023. The MD&A is intended to provide an assessment of our performance and should be read in conjunction with the Company's audited consolidated financial statements and notes thereto for the fiscal year ended December 31, 2024.

Our consolidated financial statements are prepared in accordance with IFRS Accounting Standards as issued by the International Accounting Standards Board ("IFRS") and are expressed in Canadian dollars ("CAD") unless otherwise stated. This MD&A has been prepared based on information available as at February 12, 2025. Additional information, including the Company's Annual Information Form, is available on Acadian's website at www.acadiantimber.com and on SEDAR+ at www.sedarplus.ca.

Non-IFRS Measures

Throughout this MD&A, reference is made to "Adjusted EBITDA", which Acadian's management defines as net income before interest, income taxes, fair value adjustments, non-cash cost of sales related to carbon credits, recovery of or impairment of land and roads and depreciation and amortization, and to "Adjusted EBITDA margin", which is Adjusted EBITDA as a percentage of sales. Reference is also made to "Free Cash Flow", which Acadian's management defines as Adjusted EBITDA less interest paid, current income tax expense, and capital expenditures excluding acquisitions of timberlands, plus net proceeds from the sale of timberlands and other fixed assets (proceeds less gains or losses). Reference made to "Payout Ratio" is defined as dividends declared divided by Free Cash Flow and "Payout Ratio with DRIP" is defined as dividends paid in cash divided by Free Cash Flow. Management believes that Adjusted EBITDA, Adjusted EBITDA margin, Free Cash Flow, and Payout Ratios are key performance measures in evaluating Acadian's operations and are important in enhancing investors' understanding of the Company's operational performance. Adjusted EBITDA and Adjusted EBITDA margin are indicative of the underlying profitability of Acadian's operating segments and are used to evaluate operational performance. Free Cash Flow is used to evaluate Acadian's ability to generate sustainable cash flows from operations that are available for dividends, repurchases of common shares, debt reduction, acquisitions, and other capital allocation activities. We have provided

reconciliations of net income as determined in accordance with IFRS, to Adjusted EBITDA and Free Cash Flow in the “Adjusted EBITDA and Free Cash Flow” section of this MD&A. Reference is also made to “net liquidity” which includes cash and funds available under credit facilities less amounts reserved to support the minimum cash balance related to long-term debt.

As these measures do not have a standardized meaning prescribed by IFRS, they may not be comparable to similar measures presented by other companies.

Internal Control over Financial Reporting

Management, which includes the Chief Executive Officer and Chief Financial Officer, is responsible for establishing and maintaining adequate internal control over financial reporting (as defined in the Canadian Securities Administrators National Instrument 52-109). Internal control over financial reporting is a process designed by, or under the supervision of, the Chief Executive Officer and the Chief Financial Officer and effected by the Board of Directors, management and other personnel to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with IFRS.

Management assessed the design and operation of the Company’s internal control over financial reporting as of December 31, 2024, based on the criteria set forth in the Internal Control – Integrated Framework issued by the Committee of Sponsoring Organizations of the Treadway Commission. Based on this assessment, management has determined that, as of December 31, 2024, Acadian’s internal control over financial reporting is effective. Also, management determined that there were no material weaknesses in Acadian’s internal control over financial reporting as of December 31, 2024.

Disclosure Controls

Management, including the Chief Executive Officer and Chief Financial Officer, have evaluated the design and operation of our disclosure controls and procedures (as defined in the Canadian Securities Administrators National Instrument 52-109). Based on that evaluation, the Chief Executive Officer and Chief Financial Officer concluded that the disclosure controls and procedures were effective as of December 31, 2024. No material weaknesses have been determined by management in Acadian’s disclosure controls and procedures as of December 31, 2024.

REVIEW OF ANNUAL OPERATIONS

Summary of Results for the Years Ended December 31

The table below summarizes operating and financial data for Acadian:

<i>Years Ended December 31</i>			
<i>(CAD thousands, except per share data and where indicated)</i>			
	2024	2023	2022
Timber sales volume (000s m ³)	977.2	894.2	917.8
Carbon credit sales volume (000s credits)	752.1	1.5	—
Timber sales and services	\$ 91,597	\$ 93,440	\$ 90,473
Carbon credit sales	24,588	37	—
Operating income	23,659	19,566	17,865
Net income	21,738	29,434	35,507
Total assets	608,017	567,953	547,836
Total long-term debt	114,941	105,515	107,937
Adjusted EBITDA ¹	\$ 38,893	\$ 20,586	\$ 18,194
Adjusted EBITDA margin ¹	33%	22%	20%
Free Cash Flow ¹	\$ 29,733	\$ 14,999	\$ 12,151
Dividends declared	20,259	19,802	19,468
Dividends paid in cash	11,488	14,868	16,002
Payout Ratio ¹	68%	132%	160%
Payout Ratio with DRIP ¹	39%	99%	132%
Per share – basic and diluted			
Net income	\$ 1.24	\$ 1.72	\$ 2.11
Free Cash Flow ¹	1.69	0.88	0.72
Book value	19.18	18.56	17.99
Dividends declared per share	1.16	1.16	1.16
Common shares outstanding ²	17,675,687	17,182,558	16,885,424
Weighted average shares outstanding	17,566,031	17,123,919	16,791,973

1. Non-IFRS Measure. See “Non-IFRS Measures” on page 7 of this report.

2. As at February 12, 2025 there were 17,822,449 common shares outstanding.

Acadian generated sales of \$116.2 million, compared to \$93.5 million in the prior year. The sale of 752,100 voluntary carbon credits contributed \$24.6 million to total sales in 2024. Timber sales volume, excluding biomass, increased 16% year-over-year primarily as a result of increased contractor availability and a favourable change in customer mix which shifted harvesting volumes from Crown licensed timberlands to our freehold timberlands, increasing sales from our freehold timberlands (“freehold sales”) and decreasing our timber services revenue, as compared to 2023.

Increased timber sales volumes were offset by decreased pricing as a result of changes in product mix and weak end use markets. Acadian’s weighted average selling price, excluding biomass, decreased 5% from the prior year. Lower sawlog prices stemming from changes in product mix and weakness in lumber pricing as well as lower hardwood pulpwood prices due to shorter hauling distances were partially offset by higher softwood pulpwood prices early in 2024.

Operating costs and expenses were \$92.5 million during 2024, compared to \$73.9 million in the prior year. The year-over-year increase reflects the addition of costs related to carbon credit sales as well as higher timber sales volumes. Weighted average variable costs, excluding biomass, increased 2% over the prior year due to greater softwood sawlog hauling distances and higher contractor rates partially offset by changes in product mix and lower fuel adjustment costs.

Adjusted EBITDA for the year ended December 31, 2024 was \$38.9 million, compared to \$20.6 million in the prior year for the reasons discussed above and Adjusted EBITDA margin was 33% compared to 22% in the prior year. Free Cash Flow was \$29.7 million compared to \$15.0 million in 2023 due to higher Adjusted EBITDA and higher proceeds from sale of timberlands, partially offset by higher current income tax expense.

Net income for the year ended December 31, 2024 totaled \$21.7 million, or \$1.24 per share, compared to net income of \$29.4 million, or \$1.72 per share, in the prior year with higher operating income offset by lower non-cash fair value adjustments in 2024 compared to 2023.

Adjusted EBITDA and Free Cash Flow

The following table provides a reconciliation of net income, as determined in accordance with IFRS, to Adjusted EBITDA and Free Cash Flow during each respective period:

<i>Years Ended December 31</i> <i>(CAD thousands)</i>	2024	2023	2022
Net income	\$ 21,738	\$ 29,434	\$ 35,507
Add / (deduct):			
Interest expense, net	3,121	3,153	3,098
Income tax expense	9,250	10,611	13,627
Depreciation and amortization	517	363	273
Fair value adjustments and other	(9,911)	(22,995)	(34,311)
Non-cash cost of sales related to carbon credits ²	14,178	20	—
Adjusted EBITDA ¹	\$ 38,893	\$ 20,586	\$ 18,194
Add / (deduct):			
Interest paid on debt, net	(3,299)	(3,031)	(2,976)
Additions to land, roads, and other fixed assets	(1,082)	(619)	(378)
Gain on sale of timberlands and other fixed assets	(539)	(657)	(56)
Proceeds from sale of timberlands and other assets	1,360	675	59
Current income tax expense	(5,600)	(1,955)	(2,692)
Free Cash Flow ¹	\$ 29,733	\$ 14,999	\$ 12,151
Dividends declared	20,259	19,802	19,468
Dividends paid in cash	11,488	14,868	16,002
Payout Ratio ¹	68%	132%	160%
Payout Ratio with DRIP ¹	39%	99%	132%

1. *Non-IFRS Measure. See "Non-IFRS Measures" on page 7 of this report.*

2. *A portion of the book value of carbon credit inventory originates in transfers of fair value from timber and is recorded as an expense at the time of a sale. These amounts are added back to Adjusted EBITDA to be consistent with the treatment of fair value adjustments to timber.*

Dividend Policy of the Company

Acadian declares dividends from its available cash to the extent determined prudent by the Board of Directors. Dividends are paid on or about the 15th day following each dividend record date.

Total dividends declared to shareholders during the year ended December 31, 2024 were \$20.3 million, or \$1.16 per share, compared to \$19.8 million, or \$1.16 per share in 2023. The Payout Ratio of Acadian, which represents the amount of dividends declared as a percentage of the Free Cash Flow generated, was 68% for 2024, and the Payout Ratio with DRIP, which represents the amount of dividends paid in cash as a percentage of Free Cash Flow generated, was 39%.

Acadian has in place a dividend reinvestment plan ("DRIP") effective with eligible shareholders whereby Canadian resident shareholders may elect to automatically have their dividends reinvested in additional shares issued directly from the treasury of the Company. During the year, Acadian issued 493,129 common shares in accordance with the DRIP.

Macer Forest Holdings Inc. ("Macer"), which owns approximately 49% of the outstanding common shares of Acadian as at February 12, 2025 (December 31, 2024 – 49%), increased its participation from 50% of dividends payable to it to 100% of dividends payable to it beginning April 15, 2024. The level of future participation is subject to change, subject to the notice provisions of the DRIP.

Operating and Market Conditions

Unfavourable weather conditions impacted operations in both New Brunswick and Maine during the first quarter but conditions were generally favourable for the remainder of the year. Contractor availability improved in New Brunswick but remained challenged in Maine. Freehold sales volume, excluding biomass, of 908,300 m³ was 16% higher than 2023.

Acadian's weighted average selling price, excluding biomass, decreased 5% as compared to 2023. Demand for softwood sawlogs was steady in the regions in which Acadian operates. A favourable change in customer mix shifted harvesting volumes from Crown licensed timberlands to our freehold timberlands, increasing our freehold sales and decreasing our timber services revenue, as compared to 2023.

Softwood sawlog pricing decreased 7% from the prior year, being impacted by softwood lumber pricing, which remained below historical averages for much of the year, and changes in product mix. Softwood pulpwood demand started strong early in the year but was curbed in the second half of the year by abundant regional sawmill residuals. Softwood pulpwood pricing increased 5% over 2023.

Demand for Acadian's hardwood sawlogs remained stable. However, weakness in hardwood lumber markets put downward pressure on hardwood sawlog prices, and pricing decreased 10% as compared to the prior year. Hardwood pulpwood demand was steady through 2024. Pricing decreased 2%, primarily as a result of shorter hauling distances, as compared to the prior year.

Reductions in processing capacity limited biomass volumes. Biomass pricing decreased 43% from the prior year as a result of roadside sales instead of delivered sales.

Segmented Results of Operations

In the prior year ended December 31, 2023, Acadian had two reportable segments: New Brunswick Timberlands and Maine Timberlands. As a result of increased diversification in business activities, an additional reportable segment, Environmental Solutions, was reported commencing in the first quarter of 2024. The 2023 comparative figures presented have been restated to reflect this change.

The table below summarizes financial results by segment:

<i>Year Ended December 31</i> <i>(CAD thousands)</i>		2024	2023
Sales			
	New Brunswick Timberlands	\$ 74,314	\$ 77,099
	Maine Timberlands	17,283	16,341
	Environmental Solutions	24,588	37
	Corporate	—	—
	Total	\$ 116,185	\$ 93,477
Adjusted EBITDA			
	New Brunswick Timberlands	\$ 19,471	\$ 20,315
	Maine Timberlands	1,620	1,929
	Environmental Solutions	19,839	31
	Corporate	(2,037)	(1,689)
	Total	\$ 38,893	\$ 20,586

New Brunswick Timberlands

New Brunswick Timberlands owns and manages approximately 775,000 acres of freehold timberlands and provides harvesting and management services relating to approximately 1.3 million acres of Crown licensed timberlands. All harvesting operations are performed by third-party contractors.

For the year ended December 31, 2024, there were three recordable safety incidents among contractors and none among employees. The individuals made full recoveries and returned to work.

New Brunswick Timberlands successfully completed a surveillance audit under the 2022 Sustainable Forestry Initiative® Standard during the year with no non-conformances, which re-affirms our certificate and is a testament to the sustainability of our operations.

The table below summarizes operating and financial results for New Brunswick Timberlands:

<i>Year Ended December 31</i> <i>(CAD thousands)</i>		2024	2023
Sales (000s m ³)			
	Softwood	463.1	374.1
	Hardwood	270.4	249.2
	Biomass	60.7	98.0
	Total	794.2	721.3
Sales (\$000s)			
	Softwood	\$ 33,705	\$ 27,675
	Hardwood	24,242	23,977
	Biomass	1,305	3,948
	Total	\$ 59,252	\$ 55,600
Timber services and other		15,062	21,499
Total Sales (\$000s)		\$ 74,314	\$ 77,099
Adjusted EBITDA (\$000s)		\$ 19,471	\$ 20,315
Adjusted EBITDA margin		26%	26%

Sales for New Brunswick Timberlands totaled \$74.3 million, compared to \$77.1 million in 2023 reflecting increased freehold sales volumes offset by a lower weighted average selling price and decreased timber services activity. Freehold sales volume, excluding biomass, increased 18% compared to the prior year primarily due to a favourable change in customer mix which shifted harvesting volumes from Crown licensed timberlands to our freehold timberlands, increasing our freehold sales and decreasing our timber services revenue, as well as improved contractor availability. Biomass sales volume was lower compared to the prior year due to limited processing capacity.

The weighted average selling price, excluding biomass, for the year was \$79.00 per m³, or 5% lower year-over-year. Softwood sawlog pricing decreased 6% compared to the prior year period, due to a lower value product mix and weakness in end use markets. Hardwood sawlog pricing decreased 12% primarily due to weakness in lumber markets. Softwood pulpwood pricing increased 4% year-over-year due to strong demand early in the year. In the second half of the year, abundant regional sawmill residuals reduced demand and pricing. Hardwood pulpwood pricing decreased 2% as compared to the prior year period as a result of shorter hauling distances.

Operating costs and expenses were \$55.5 million during 2024, compared to \$57.6 million in the prior year. Increased freehold harvesting activity and increased weighted average variable costs were offset by lower timber services activity. Weighted average variable costs, excluding biomass, increased 2% as a result of greater softwood sawlog hauling distances and higher contractor rates partially offset by a higher proportion of softwood products which carry lower variable costs.

Adjusted EBITDA for the year ended December 31, 2024 was \$19.5 million, compared to \$20.3 million in the prior year, while Adjusted EBITDA margin was 26%, consistent with the prior year.

Maine Timberlands

Maine Timberlands owns and manages approximately 300,000 acres of freehold timberlands. All harvesting operations for the year ended December 31, 2024 were performed by third-party contractors. Subsequent to year end, Acadian established its own harvesting operations in Maine. See additional disclosure within “Internal Harvesting Operations” under the heading “Subsequent Events”.

For the year ended December 31, 2024, there were five recordable safety incidents among contractors and none among employees. The individuals made full recoveries and returned to work.

Our Maine operations successfully completed a surveillance audit under the 2022 Sustainable Forestry Initiative® Standard during the year with no non-conformances.

The table below summarizes operating and financial results for Maine Timberlands:

<i>Year Ended December 31</i> <i>(CAD thousands)</i>		2024	2023
Sales (000s m ³)			
	Softwood	103.0	92.1
	Hardwood	71.8	67.9
	Biomass	8.2	12.9
	Total	183.0	172.9
Sales (\$000s)			
	Softwood	\$ 9,589	\$ 9,177
	Hardwood	6,333	6,063
	Biomass	182	212
	Total	\$ 16,104	\$ 15,452
Other sales		1,179	889
Total Sales (\$000s)		\$ 17,283	\$ 16,341
Adjusted EBITDA (\$000s)		\$ 1,620	\$ 1,960
Adjusted EBITDA margin		9%	12%

Sales for Maine Timberlands were \$17.3 million compared to \$16.3 million in 2023. Sales volume, excluding biomass, increased 9%. Contractor availability remained a significant challenge throughout the year.

The weighted average selling price, excluding biomass, in Canadian dollar terms was \$91.09 per m³, compared to \$95.23 per m³ in 2023. In U.S. dollar terms, the weighted average selling price, excluding biomass, was \$66.70 per m³, compared to \$70.51 per m³ in 2023. Softwood sawlog pricing decreased 7% in U.S. dollars terms, compared to the prior year period, due to a lower value product mix and weakness in end use markets. Hardwood sawlog pricing increased 8% in U.S. dollars terms due to a more favourable product mix as compared to 2023, however, volumes were low. Softwood pulpwood pricing increased 3% in U.S. dollars terms year-over-year due to increased demand. Hardwood pulpwood pricing remained relatively flat in U.S. dollars terms as compared to the prior year period.

Operating costs and expenses for 2024 were \$16.0 million, compared to \$14.6 million in 2023 due to higher harvesting activity and higher weighted average variable costs. Weighted average variable costs, excluding biomass, increased 3% primarily as a result of greater hauling distances and the impacts of foreign exchange, partially offset by changes in product mix.

Adjusted EBITDA for the year ended December 31, 2024 was \$1.6 million compared to \$2.0 million in the prior year and Adjusted EBITDA margin was 9% compared to 12% during the prior year.

Environmental Solutions¹

Environmental Solutions leverages the ecological functions of Acadian's land and the operational expertise of its team to address pressing environmental challenges, such as climate change and biodiversity. In line with these objectives, Acadian

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has undertaken a voluntary carbon credit project which increases carbon sequestration and provides significant environmental benefits on the portion of our Maine Timberlands that is subject to a working forest conservation easement.

The project is registered on the ACR under the name Anew – Katahdin Forestry Project, and requires balancing harvest and growth, long-term planning, periodic carbon inventory verification, and maintenance of the Acadian’s sustainable forestry certification.

On June 8, 2023, 770,071 voluntary carbon credits relating to the first reporting period of the project were registered and made available for sale. The first sale of 1,500 credits occurred in December 2023. During 2024, 752,100 credits were sold at an average price of approximately U.S.\$24/credit.

The table below summarizes operating and financial results for Environmental Solutions:

<i>Year Ended December 31</i> <i>(CAD thousands)</i>	2024	2023
Sales volume (000s credits)	752.1	1.5
Sales (\$000s)	\$ 24,588	\$ 37
Adjusted EBITDA (\$000s)	\$ 19,839	\$ 31

The registration process for the second and third tranches of carbon credits for the project is expected to result in approximately 0.4 million credits in total and is expected to be completed in the first quarter of 2025. The project is expected to generate an additional 0.8 million credits related to reporting periods four through ten. Actual credit issuances will be adjusted each reporting period based on actual harvesting, natural disturbances, and other factors, as well as periodic updating for inventory and verification activities.

This project has provided valuable experience to the Acadian management team and has formed the foundation for potential further carbon credit developments in the future.

Solar Land Lease Agreement¹

On February 6, 2024, Acadian executed an agreement for the option to lease approximately 10,000 acres of its Maine Timberlands for the purpose of the development, construction, operation, and maintenance of a solar powered electric generating facility.

The agreement includes inspection, development, construction, and commercial operations terms with escalating leasing fees. The future impact to Acadian’s financial results will be dependent upon the successful completion of each of the above-noted terms, none of which are certain. The incremental cash flows attributable to the inspection and development terms are modest. However, should the project reach the construction term, which is not expected to occur for several years, the incremental cash flows may become material to Acadian.

At any time during the inspection term or the development term, the tenant has the right to terminate the agreement. The agreement also contains provisions whereby Acadian may terminate if all permits and approvals necessary to construct the facility are not obtained prior to the end of the development period.

Acquisition of Timberlands¹

On March 14, 2024, Acadian completed the acquisition of approximately 16,000 acres of timberland in New Brunswick at a price of \$9.0 million, financed through its existing revolving credit facility. The timberlands are close in proximity to Acadian’s existing operations and customer base. The property is well stocked, benefiting from historical silviculture investments, which

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will allow Acadian to expand its harvesting operations. The property also presents significant potential for revenue diversification through other land use opportunities.

Land Sales¹

In October 2024, Acadian entered into an agreement to sell approximately 2,100 acres of timberland. The land included in the disposition is composed of smaller parcels of relatively low operational or strategic value to Acadian. The sale of approximately 1,800 acres closed in November 2024 for gross proceeds of \$1.1 million and a net gain of \$0.3 million. The remainder of the transaction is expected to close in the first half of 2025.

ANALYSIS OF FOURTH QUARTER RESULTS

Summary of Fourth Quarter Results

The table below summarizes operating and financial data for Acadian:

<i>Three Months Ended December 31</i>			
<i>(CAD thousands, except where indicated)</i>	2024	2023	2022
Timber sales volume (000s m ³)	232.3	231.9	230.5
Carbon credit sales volume (000s credits)	—	1.5	—
Timber sales and services	\$ 20,226	\$ 23,778	\$ 23,755
Carbon credit sales	—	37	—
Operating income	3,215	4,312	3,937
Net income	5,585	11,593	22,002
Adjusted EBITDA ¹	3,698	4,418	4,058
Adjusted EBITDA margin ¹	18%	19%	17%
Free Cash Flow ¹	\$ 3,051	\$ 2,811	\$ 2,000
Dividends declared	5,126	4,983	4,897
Dividends paid in cash	2,588	3,702	3,721
Payout Ratio ¹	168%	177%	245%
Payout Ratio with DRIP ¹	85%	132%	186%
Per share – basic and diluted			
Net income	0.32	0.68	1.30
Free Cash Flow ¹	0.17	0.16	0.12
Dividends declared per share	0.29	0.29	0.29

1. Non-IFRS Measure. See “Non-IFRS Measures” on page 7 of this report

During the fourth quarter, Acadian generated sales of \$20.3 million compared to \$23.8 million in the prior year period. Sales volume, excluding biomass, were consistent with the same period of 2023. In New Brunswick, a favourable change in customer mix shifted harvesting volumes from Crown licensed timberlands to our freehold timberlands, increasing our freehold sales and decreasing our timber services revenue. New Brunswick experienced improved contractor availability and increased volumes, however, contractor availability remained a significant challenge in Maine. Volumes were also impacted by unfavourable weather conditions stemming from a late start to winter conditions and longer than usual customer shutdowns due to the timing of holidays.

The weighted average selling price, excluding biomass, decreased 5% year-over-year. Softwood sawlog pricing decreased, as compared to the prior year period, due to a lower value product mix and weakness in end use markets. Hardwood sawlog

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pricing decreased primarily due to weakness in end use markets. Softwood pulpwood pricing decreased as a result of abundant regional sawmill residuals impacting demand and pricing. Hardwood pulpwood pricing increased as compared to the prior year period due to a favourable customer mix.

Operating costs and expenses were \$17.0 million during the fourth quarter, compared to \$19.5 million during the fourth quarter of 2023. Increased costs related to increased freehold harvesting activity were offset by lower timber services activity and lower land management costs. Weighted average variable costs, excluding biomass were flat as compared to the prior year period. Greater hauling distances and increased contractor rates were offset by a higher proportion of softwood products which carry lower variable costs and lower fuel adjustment costs.

Adjusted EBITDA was \$3.7 million during the fourth quarter, compared to \$4.4 million in the prior year period and Adjusted EBITDA margin for the quarter was 18% compared to 19% in the prior year period. Free Cash Flow was \$3.1 million compared to \$2.8 million in the same period of 2023. Lower Adjusted EBITDA and higher additions to land, roads, and other fixed assets were offset by increased proceeds from the sale of timberlands and lower current income tax expense.

Net income for the fourth quarter totaled \$5.6 million, or \$0.32 per share, compared to \$11.6 million, or \$0.68 per share in the same period of 2023. The decrease in net income was largely due to the impact of lower gains on non-cash fair value adjustments in 2024 compared to 2023 partially offset by lower income tax expense.

The following tables provide a reconciliation of net income, in accordance with IFRS, to Adjusted EBITDA and Free Cash Flow during each respective period:

<i>Three Months Ended December 31</i>				
<i>(CAD thousands, except where indicated)</i>				
	2024	2023	2022	
Net income	\$ 5,585	\$ 11,593	\$ 22,002	
Add / (deduct):				
Interest expense, net	721	778	803	
Income tax expense	2,164	4,795	8,300	
Depreciation and amortization	148	101	79	
Fair value adjustments and other	(4,920)	(12,869)	(27,126)	
Non-cash cost of sales related to carbon credits ²	—	20	—	
Adjusted EBITDA ¹	\$ 3,698	\$ 4,418	\$ 4,058	
Add / (deduct):				
Interest paid on debt, net	(814)	(793)	(772)	
Additions to land, roads, and other fixed assets	(342)	(69)	(127)	
Gain on sale of timberlands and other fixed assets	(335)	(5)	(42)	
Proceeds from sale of timberlands and other fixed assets	1,142	5	45	
Current income tax expense	(298)	(745)	(1,162)	
Free Cash Flow ¹	\$ 3,051	\$ 2,811	\$ 2,000	
Dividends declared	5,126	4,983	4,897	
Dividends paid in cash	2,588	3,702	3,721	
Payout Ratio ¹	168%	177%	245%	
Payout Ratio with DRIP ¹	85%	132%	186%	

1. *Non-IFRS Measure. See "Non-IFRS Measures" on page 7 of this report.*

2. *A portion of the book value of carbon credit inventory originates in transfers of fair value from timber and is recorded as an expense at the time of a sale. These amounts are added back to Adjusted EBITDA to be consistent with the treatment of fair value adjustments to timber.*

Segmented Results of Operations

The table below summarizes operating and financial results for NB Timberlands, Maine Timberlands, and Corporate:

<i>Three Months Ended December 31</i> <i>(CAD thousands)</i>		2024	2023
Sales			
	New Brunswick Timberlands	\$ 17,222	\$ 19,788
	Maine Timberlands	3,004	3,990
	Environmental Solutions	—	37
	Corporate	—	—
	Total	\$ 20,226	\$ 23,815
Adjusted EBITDA			
	New Brunswick Timberlands	\$ 4,168	\$ 4,942
	Maine Timberlands	(223)	(155)
	Environmental Solutions	—	31
	Corporate	(247)	(400)
	Total	\$ 3,698	\$ 4,418

New Brunswick Timberlands

During the fourth quarter, Acadian's New Brunswick operations experienced one recordable safety incident among contractors and none among employees. The incident was minor in nature and the contractor has returned to work.

The table below summarizes operating and financial results for New Brunswick Timberlands:

<i>Three Months Ended December 31</i> <i>(CAD thousands)</i>		2024	2023
Sales (000s m ³)			
	Softwood	108.7	98.9
	Hardwood	62.7	61.3
	Biomass	28.4	23.5
	Total	199.8	183.7
Sales (\$000s)			
	Softwood	\$ 7,777	\$ 7,490
	Hardwood	5,739	5,884
	Biomass	359	982
	Total	\$ 13,875	\$ 14,356
Timber services and other sales		3,347	5,432
Total Sales (\$000s)		\$ 17,222	\$ 19,788
Adjusted EBITDA (\$000s)		\$ 4,168	\$ 4,942
Adjusted EBITDA margin		24%	25%

Sales for New Brunswick Timberlands were \$17.2 million compared to \$19.8 million during the prior year period. Freehold sales volume, excluding biomass, increased 7% compared to the prior year period primarily due to increased contractor availability and a favourable change in customer mix which shifted harvesting volumes from Crown licensed timberlands to our freehold timberlands, increasing our freehold sales and decreasing our timber services revenue, partially offset by unfavourable weather conditions and longer than usual customer shutdowns due to the timing of holidays.

The weighted average selling price, excluding biomass, for the fourth quarter was \$78.83 per m³, or 6% lower than the prior year period. Softwood sawlog pricing decreased, as compared to the prior year period, due to a lower value product mix and

weakness in end use markets. Hardwood sawlog pricing decreased primarily due to weakness in end use markets. Softwood pulpwood pricing decreased as a result of abundant regional sawmill residuals impacting demand. Hardwood pulpwood pricing increased as compared to the prior year period due to a favourable customer mix.

Operating costs and expenses were \$13.4 million during the fourth quarter, compared to \$14.9 million in the prior year period. Increased freehold harvesting activity and increased weighted average variable costs were offset by lower timber services activity. Weighted average variable costs, excluding biomass, increased 2% as a result of greater hauling distances for sawlogs and higher contractor rates partially offset by lower fuel adjustment costs.

Adjusted EBITDA for the quarter was \$4.2 million compared to \$4.9 million during the prior year period and Adjusted EBITDA margin was 24% compared to 25% as a result of lower operating income for the reasons discussed above.

Maine Timberlands

During the fourth quarter, Acadian's Maine operations experienced one recordable safety incident among contractors and none among employees. The incident was minor in nature and the contractor has returned to work.

The table below summarizes operating and financial results for Maine Timberlands:

<i>Three Months Ended December 31</i>		2024	2023
<i>(CAD thousands)</i>			
Sales (000s m ³)			
	Softwood	18.7	19.3
	Hardwood	10.8	22.5
	Biomass	3.0	6.4
	Total	32.5	48.2
Sales (\$000s)			
	Softwood	\$ 1,695	\$ 1,690
	Hardwood	917	1,914
	Biomass	82	152
	Total	\$ 2,694	\$ 3,756
Other sales		310	234
Total Sales (\$000s)		\$ 3,004	\$ 3,990
Adjusted EBITDA (\$000s)		\$ (223)	\$ (155)
Adjusted EBITDA margin		(7)%	(4)%

Sales for Maine Timberlands during the fourth quarter totaled \$3.0 million compared to \$4.0 million in the prior year period. Sales volume, excluding biomass, decreased by 29% compared to the same period of 2023, primarily due to unfavourable weather conditions stemming from a late start to winter conditions and longer than usual customer shutdowns due to the timing of holidays.

The weighted average selling price, excluding biomass, in Canadian dollar terms was \$88.36 per m³, or 3% higher than the same period of 2023 primarily due to the impacts of foreign exchange. In U.S dollar terms, the weighted average selling price, excluding biomass, was \$63.38 per m³, flat as compared to 2023, with lower prices for hardwood sawlogs driven by weak end use markets offset by slight increases in softwood sawlog and hardwood pulpwood prices.

Operating costs and expenses for the fourth quarter were \$3.3 million, compared to \$4.2 million during the same period in 2023 as a result of lower harvesting activity partially offset by higher variable costs. Weighted average variable costs, excluding biomass, increased 3% primarily as a result of greater hauling distances and the impacts of foreign exchange.

Adjusted EBITDA for the quarter was \$(0.2) million, flat as compared to the prior year period and Adjusted EBITDA margin was (7)% compared to (4)% in the prior year period.

Environmental Solutions

The table below summarizes operating and financial results for Environmental Solutions.

Three Months Ended December 31 (CAD thousands)	2024	2023
Sales volume (000s credits)	—	1.5
Sales (\$000s)	\$ —	\$ 37
Adjusted EBITDA (\$000s)	\$ —	\$ 31

On June 8, 2023, 770,071 voluntary carbon credits relating to the first reporting period of the project were registered and made available for sale. The first sale of 1,500 credits occurred in December 2023. In the first two quarters of 2024, 752,100 credits were sold, effectively depleting the Company's inventory of registered carbon credits. No sales occurred during the fourth quarter of 2024. See additional disclosure within "Environmental Solutions" under the heading "Review of Annual Operations."

SUBSEQUENT EVENTS

Internal Harvesting Operations¹

With the goal of expanding harvesting capacity in Maine and reducing operating costs, Acadian established its own internal harvesting operation subsequent to year end. In January 2025, Acadian purchased several pieces of harvesting equipment for \$2.4 million and hired equipment operators, who have begun harvesting on Acadian's Maine Timberlands. Financing terms related to the purchase of the equipment are included under the heading "Contractual Obligations".

On February 10, 2025, Acadian signed an agreement to purchase certain logging and related assets of A & A Brochu, LLC ("A & A Brochu") and its affiliates for a total price of U.S.\$4.8 million to further expand its internal harvesting operations. The assets include harvesting, trucking and road working equipment and related real estate which, combined with an established workforce, constitute a portion of A & A Brochu's logging operation in Maine. The transaction is expected to close in the second quarter of 2025.

Tariffs on U.S. Imports¹

Subsequent to year end, the U.S. government indicated that it would implement a 25% tariff to be applied to the majority of U.S. imports from Canada. The imposition of tariffs was delayed shortly thereafter. It is unclear if and when any changes to current tariffs will be applied and whether other factors will support a pass through of all or a part of the tariffs to the market.

Acadian's products exported from New Brunswick to the U.S. would likely be subject to any tariff, which may adversely impact the price of and demand for these products. Further, the impact of the tariff on Acadian's customers may adversely impact the price of and demand for Acadian's products sold within Canada. Conversely, the price of and demand for Acadian's products derived from our Maine Timberlands may be favourably impacted.

LIQUIDITY AND CAPITAL RESOURCES

Liquidity

Acadian's principal sources of liquidity include cash earned from operations and existing revolving credit facilities. These sources, combined with existing cash, are expected to allow the Company to meet its short-term and long-term operating, debt service, capital expenditure and dividend requirements. As indicated previously, due to the seasonal nature of our business, it is typical that cash reserves are generated in the first, third, and fourth quarters of the year and are then drawn

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down during periods, such as the second quarter, when harvesting conditions are not ideal. This remains unchanged from the prior year.

The Company expects to pay quarterly dividends to the extent determined prudent by the Company's Board of Directors. Acadian assesses the nature and timing of discretionary payments in an effort to mitigate any impact on the financial condition or results of operations of Acadian. The Company's implementation of a DRIP reduces the cash requirements of dividend distributions.

Management will assess financing alternatives, which may include the issuance of additional shares and debt, when funding requirements such as potential acquisitions and debt maturities present themselves.

Acadian had net liquidity of \$29.3 million as at December 31, 2024, including funds available under the revolving facilities.

Capital Resources

Borrowings

Acadian has term credit facilities with maturity dates ranging from March 6, 2025 to March 6, 2030. These credit facilities include a revolving credit facility of up to U.S. \$10.0 million (the "Revolving Facility") for general corporate purposes and term credit facilities of U.S. \$80.0 million (the "Term Facilities"). The Term Facilities bear interest at rates ranging from 2.7% to 3.0%. The Revolving Facility bears interest at floating rates based on the Secured Overnight Financing Rate plus applicable margin. Floating interest rates give rise to interest rate risk as income and cash flows may be negatively impacted by fluctuations in interest rates. As at December 31, 2024, Acadian had borrowings of U.S. \$80.0 million under the Term Facilities (December 31, 2023 – U.S. \$80 million) and the Revolving Facility was undrawn.

As security for these facilities, Acadian has granted the lenders a security interest over the majority of its assets. The facilities are subject to customary terms and conditions for borrowers of this nature, including limits on incurring additional indebtedness, granting liens or selling assets without the consent of the lenders. The credit facilities are also subject to the maintenance of a maximum loan-to-value ratio and Acadian is in compliance as of December 31, 2024. In addition, U.S. \$1.7 million of the Revolving Facility is reserved to support the minimum cash balance requirement of the Term Facilities.

Acadian has a \$2.0 million Canadian dollar denominated revolving credit facility with a major Canadian bank for general corporate purposes. This facility bears interest at floating rates based on bank prime rates plus applicable margin and is due on demand. As at December 31, 2024 the facility was undrawn.

On December 23, 2024, Acadian signed a term sheet to refinance two tranches of the Term Facilities totaling U.S. \$32 million which mature March 6, 2025 and renew the Revolving Facility under essentially the same terms as the existing facilities, but with higher interest rates stemming from the current interest rate environment and with a maturity date of March 6, 2030. Acadian expects to complete this refinancing during the first quarter of 2025.

Outstanding Shares

The Company is authorized to issue an unlimited number of shares of the same class with equal rights and privileges. Shareholders are entitled to receive dividends as and when declared by the Company's Board of Directors and are entitled to one vote per share on all matters to be voted on by shareholders at each meeting of shareholders.

As at December 31, 2024 and February 12, 2025, Acadian had 17,675,687 and 17,822,449 common shares outstanding, respectively, and the weighted average common shares outstanding during the year was 17,566,031.

As at December 31, 2024 and February 12, 2025, Macer owned 8,640,690 and 8,785,726 shares, respectively, approximately 49% and 49%, respectively, of the outstanding common shares of Acadian.

Acadian has in place a DRIP as discussed within the section Dividend Policy of the Company of this MD&A. Shares issued under the DRIP are issued directly from the treasury of the Company.

Normal Course Issuer Bid (“NCIB”)

The Company has in place a Normal Course Issuer Bid to purchase for cancellation up to 862,739 common shares representing 5% of the 17,254,798 common shares outstanding as of January 31, 2024, subject to regulatory approval. The NCIB will terminate February 13, 2025. The Company has not renewed the NCIB.

During year ended December 31, 2024, the Company did not purchase any of its common shares.

OUTLOOK

The following contains forward-looking information about Acadian Timber Corp.’s outlook for 2025. Reference should be made to the section entitled “Cautionary Statement Regarding Forward-Looking Information and Statements” for further details. For a description of material factors that could cause actual results to differ materially from the forward-looking statements in the following, please see the Risk Factors section in this MD&A and in our Annual Information Form available on our website at www.acadiantimber.com or www.sedarplus.ca.

Near-term pressures on end use markets persist and potential tariffs are causing concern among forest products companies in both the US and Canada. However, North American interest rates and inflation are showing signs of easing, and the consensus forecast for U.S. housing starts is steady at approximately 1.36 million starts in 2025, as compared to 1.35 million in 2024. We therefore remain confident that the stability of the northeastern forestry sector, combined with long-term demand for new homes and repair and remodel activity, will support the long-term demand for our products as has been demonstrated in recent years.

Labour markets remained tight in Maine, but we maintained sufficient contractor availability in New Brunswick through the fourth quarter, which is expected to continue into 2025. Subsequent to year end, we started increasing harvesting capacity in Maine through the establishment of our own harvesting operations. We do not expect an immediate significant impact on our financial results, but we do expect to increase production and reduce operating costs in Maine over the course of 2025.

Demand for Acadian’s sawlogs is mainly driven by regional supply and demand. Near-term sawlog demand is expected to remain stable while pricing may remain challenged until end-use markets improve. Demand and pricing for softwood pulpwood is expected to remain at reduced levels in the near term due to abundant regional sawmill residuals and hardwood pulpwood is expected to be steady.

With respect to voluntary carbon credits, demand and pricing are expected to remain stable. The protocol for developing compliance market carbon credits from managed forests in Canada was finalized during the year. Acadian is evaluating the opportunities to develop eligible carbon credits that the compliance protocol may present, in conjunction with the opportunities that exist under the current protocols.

SUPPLEMENTAL INFORMATION

This supplemental information contains information required by applicable continuous disclosure guidelines and is provided to facilitate additional analysis.

Selected Consolidated Quarterly Information

The tables below set forth selected consolidated quarterly information for the last eight quarters. See “Additional Quarterly Information” section for the segmented quarterly results.

	2024				2023			
<i>(CAD thousands, except per share data and where indicated)</i>	Q4	Q3	Q2	Q1	Q4	Q3	Q2	Q1
Timber sales volume (000s m ³)	232.3	287.4	210.5	247.0	231.9	272.9	184.2	205.2
Carbon credit sales volumes (000s credits)	—	—	600.0	152.1	1.5	—	—	—
Timber sales and services	\$ 20,226	\$ 25,959	\$ 21,533	\$ 23,879	\$ 23,778	\$ 26,593	\$ 20,707	\$ 22,362
Carbon credit sales	—	—	19,658	4,930	37	—	—	—
Adjusted EBITDA ¹	3,698	4,039	20,556	10,599	4,418	4,916	5,651	5,601
Free Cash Flow ¹	3,051	2,540	16,370	7,770	2,811	4,312	4,108	3,723
Net income	5,585	2,215	7,913	6,025	11,593	6,408	5,813	5,621
Per share – basic and diluted	\$ 0.32	\$ 0.13	\$ 0.46	\$ 0.35	\$ 0.68	\$ 0.37	\$ 0.34	\$ 0.33

1. Non-IFRS Measure. See “Non-IFRS Measures” on page 7 of this report.

Results are impacted by seasonality. Harvest activity is highest during the winter months, when the ground is frozen, providing a solid base for harvesting and hauling equipment. There is a significant decrease in activity during the spring when the ground thaws. Harvesting activity resumes in late spring or early summer when the ground dries and continues through the fall.

Net income can be significantly impacted by non-cash items such as fluctuations in foreign exchange and the fair value adjustment of the Company’s timberlands, which are revalued at each reporting period. During the fourth quarter of 2023, Acadian recorded a fair value adjustment gain on timberlands which increased net income by \$12.8 million.

During the first and second quarters of 2024, Acadian sold significant volumes of voluntary carbon credits, which increased Adjusted EBITDA by \$4.1 million and \$15.7 million, respectively. A portion of the book value of carbon credit inventory originates in transfers of fair value from timber and is recorded as an expense at the time of a sale. These amounts are added back to Adjusted EBITDA to be consistent with the treatment of fair value adjustments to timber. This adjustment to net income to calculate Adjusted EBITDA was \$2.8 million and \$11.4 million during the first and second quarters of 2024, respectively.

The following table provides a reconciliation of net income, as determined in accordance with IFRS, to Adjusted EBITDA and Free Cash Flow during each respective period included in the Selected Consolidated Quarterly Information above:

	2024				2023			
(CAD thousands)	Q4	Q3	Q2	Q1	Q4	Q3	Q2	Q1
Net income	\$ 5,585	\$ 2,215	\$ 7,913	\$ 6,025	\$ 11,593	\$ 6,408	\$ 5,813	\$ 5,621
Add / (deduct):								
Interest expense, net	721	654	887	859	778	795	771	809
Income tax expense	2,164	939	3,170	2,976	4,795	1,200	2,334	2,281
Depreciation and amortization	148	139	128	102	101	106	83	73
Fair value adjustments and other	(4,920)	92	(2,894)	(2,189)	(12,869)	(3,593)	(3,350)	(3,183)
Non-cash cost of sales related to carbon credits	—	—	11,352	2,826	20	—	—	—
Adjusted EBITDA ¹	\$ 3,698	\$ 4,039	\$ 20,556	\$ 10,599	\$ 4,418	\$ 4,916	\$ 5,651	\$ 5,601
Add / (deduct):								
Interest paid on debt, net	(814)	(764)	(892)	(829)	(793)	(764)	(740)	(779)
Additions to land, roads and other fixed assets	(342)	(292)	(320)	(128)	(69)	(373)	(146)	(31)
Gain on sale of timberlands and other fixed assets	(335)	(1)	(129)	(73)	(5)	(77)	(351)	(224)
Proceeds from sale of timberlands and other assets	1,142	1	138	79	5	80	360	230
Current income tax recovery (expense)	(298)	(443)	(2,983)	(1,878)	(745)	530	(666)	(1,074)
Free Cash Flow ¹	\$ 3,051	\$ 2,540	\$ 16,370	\$ 7,770	\$ 2,811	\$ 4,312	\$ 4,108	\$ 3,723

1. Non-IFRS Measure. See "Non-IFRS Measures" on page 7 of this report.

Critical Accounting Policies and Estimates

The preparation of financial statements in accordance with IFRS requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosures of contingent assets and liabilities at the date of the financial statements and the reported amounts of revenue and expense during the reported period. The critical estimates and judgements applied in preparing Acadian's consolidated financial statements affect the assessment of net recoverable amounts, net realizable values and fair values, depreciation rates and useful lives, determination of functional currency and the selection of accounting policies.

The critical estimates and judgements made in the preparation of Acadian's consolidated financial statements include, among other things, future prices and margins, future sales volumes, future harvest rates and sustainable yields, and discount rates utilized in the valuation of Acadian's timber, roads and land. In making estimates and judgements, management relies on external information and observable conditions where possible, supplemented by internal analysis as required. These estimates and judgements have been applied in a manner consistent with prior periods and there are no known trends, commitments, events or uncertainties that we believe will materially affect the methodology or assumptions utilized in making these estimates and judgements in these consolidated financial statements, except as noted below.

In determining the reported amounts of revenue and expenses from the sale of carbon credits, critical judgments were applied in determining Acadian's customer in the sales arrangement and the timing of satisfaction of performance obligations. In determining Acadian's customer, management applied judgment in evaluating the responsibilities of Acadian and the third-party sales agent in the arrangement.

A critical area of judgment was concluding that Acadian retains control of the registered carbon credits until they are transferred to, or retired on behalf of, the end customer, and that the third-party sales agent does not take control of the

carbon credits. As a result, the end customer is determined to be Acadian's customer. Judgment was also applied when determining the timing of satisfaction of performance obligations, and therefore, the timing of recognizing revenue, which is when control of the registered carbon credit transfers to, or the carbon credit is retired on behalf of, the end customer. Accordingly, Acadian recognizes as revenue the gross amount paid by the end customer for the registered carbon credits and recognizes as an expense the amount that is retained by the third-party sales agent.

For further reference on critical accounting policies, see our material accounting policies contained in Note 2 of Acadian's audited 2024 consolidated financial statements.

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognized in the period in which the estimate is revised if the revision affects only that period or in the period of the revision and future periods if the revision affects both current and future periods.

Related Party Transactions

There were no related party transactions during the year ended December 31, 2024 other than shares issued to Macer in accordance with the DRIP, as described within the section "Dividend Policy of the Company" of this MD&A.

Contractual Obligations

The Company has two significant contractual obligations, being the Fibre Supply Agreement and the Crown Lands Services Agreement.

The Fibre Supply Agreement ("FSA") between the Company and Groupe Lebel expires in 2026, subject to a five-year extension at the option of Groupe Lebel. The provision of timber services under the Crown Lands Services Agreement ("CLSA") at the direction of Twin Rivers Paper Company ("Twin Rivers") has a term equal to the term of the Crown License, including any renewal terms. See additional disclosure under the heading "Risks Related to the Business and Industry – Significant Contracts".

The table below summarizes the Company's long term debt obligations as at December 31, 2024:

		Payments Due by Period			
(CAD thousands)	Total	Less Than One Year (2025)	1 to 3 Years (2026-2028)	4 to 5 Years (2029-2030)	After 5 Years (>2030)
Term facilities					
Tranche due March 6, 2025 ¹	\$ 21,224	\$ 21,224	\$ —	\$ —	\$ —
Tranche due March 6, 2025 ¹	24,821	24,821	—	—	—
Tranche due March 6, 2027 ¹	46,045	—	46,045	—	—
Tranche due March 6, 2030 ¹	23,022	—	—	23,022	—
	\$ 115,112	\$ 46,045	\$ 46,045	\$ 23,022	\$ —
Interest payments	\$ 6,566	\$ 2,196	\$ 3,572	\$ 798	\$ —

1. Represents principal of the U.S. dollar denominated term facilities with a U.S. to Canadian dollar conversion rate of 1.4389 and excludes unamortized deferred financing costs.

On December 23, 2024, Acadian signed a term sheet to refinance two tranches of the Term Facilities totaling U.S. \$32 million which mature March 6, 2025 and renew the Revolving Facility under essentially the same terms as the existing facilities, but with higher interest rates stemming from the current interest rate environment and with a maturity date of March 6, 2030. Acadian expects to complete this refinancing during the first quarter of 2025.

As at December 31, 2024, the Company had entered into an agreement to purchase \$2.4 million of harvesting equipment which had not yet been received. The Company had also entered into a financing agreement related to the purchase with a term of three years bearing interest at 2.49%. The purchase will result in annual cash payments of \$0.8 million beginning in 2025.

RISK FACTORS

The following information is a summary of certain risk factors and the potential impact these factors could have on the business, assets, financial condition, results of operations, cash flows, and liquidity of Acadian, as well as on the ability of Acadian to pay dividends on its common shares. Additional risks and uncertainties not presently known to Acadian, or that Acadian currently deems immaterial, may also impair the operations of Acadian.

Risks Related to the Business and Industry

Trade Restrictions

Tariffs on U.S. Imports

Subsequent to year end, the U.S. government indicated that it would implement a 25% tariff to be applied to the majority of U.S. imports from Canada. The imposition of tariffs was delayed shortly thereafter. It is unclear if and when any changes to current tariffs will be applied and whether other factors will support a pass through of all or a part of the tariffs to the market.

Acadian's products exported from New Brunswick to the U.S. would likely be subject to any tariff, which may adversely impact the price of and demand for these products. Further, the impact of the tariff on Acadian's customers may adversely impact the price of and demand for Acadian's products sold within Canada. Conversely, the price of and demand for Acadian's products derived from our Maine Timberlands may be favourably impacted.

Softwood Lumber Agreement

A portion of the products manufactured by Acadian's customers in Canada using timber from its New Brunswick and Maine timberlands are exported to the United States for sale. Since 2006, Canadian softwood lumber exports to the United States have been subjected to export duties that were imposed under the Softwood Lumber Agreement between Canada and the United States (the "SLA").

On October 12, 2015, the 2006 SLA expired. At the end of 2017, the U.S. Department of Commerce began applying countervailing duties and anti-dumping rates for most Canadian producers. In response, Canada launched initiatives under NAFTA and with the WTO to review the U.S. duties on softwood lumber imports, which are ongoing.

In November 2023, the U.S. International Trade Commission voted to maintain the anti-dumping and countervailing duty orders on softwood lumber from Canada. As such, the United States will continue to impose anti-dumping and countervailing duties on Canadian softwood lumber products.

It is unclear if and when any changes will occur. Strength in lumber markets, combined with supply side factors may support a pass through of duties to the market. Should Acadian's customers not be able to pass through these duties, the price of Acadian's harvested timber may be adversely impacted.

Significant Contracts

The Company has two significant contracts, being the FSA and the CLSA.

The FSA between the Company and Groupe Lebel, an Eastern Canadian lumber manufacturer and North American forest products producer, expires in 2026, subject to a five-year extension at the option of Groupe Lebel.

Pursuant to the FSA, Groupe Lebel has the right to purchase the majority of the spruce and fir softwood produced each year from the New Brunswick Timberlands. The terms of this agreement permit Groupe Lebel to permanently reduce its purchases by any amount, subject to certain notice periods. Groupe Lebel also has the right to temporarily reduce the volume of fibre that it purchases as a result of market factors, while retaining the right to increase such volumes in the future up to the committed level. These rights may restrict Acadian's ability to find replacement customers given the uncertainty of ongoing supply to which such replacement customers would be subject.

Approximately 2% of Acadian's total sales for the year ended December 31, 2024 (2023 - 12%) were derived from sales made under the FSA.

In addition, a portion of Acadian's revenue is generated from services provided under the CLSA with Twin Rivers. The CLSA has a term equal to the term of the Crown license, including any renewal terms. The Crown license has been assigned to Twin Rivers as the owner/operator of its mills. If under any scenario, the mills were to close, the license would likely revert to the Crown resulting in the termination of the CLSA. Such events could eliminate the revenue earned by Acadian in providing services relating to the CLSA, and thus would result in a reduction of Free Cash Flow and could result in the impairment of intangible assets.

Approximately 6.5% of Acadian's total sales for the year ended December 31, 2024 (2023 - 8%) were derived from services provided under the CLSA.

Dependence on and Scarcity of Trained Labour

Acadian relies significantly on a limited number of entities to cut and haul harvested timber, as well as to conduct road building and silviculture activities. If any of these entities were to stop doing business with Acadian, Acadian's operations could be negatively impacted. In addition, there is a limited supply of trained foresters and trained operators/contractors in the New Brunswick and Maine regions, decreases in which impact Acadian's ability to harvest and deliver products to its customers and which may result in increased costs to Acadian to retain its workforce. The ability of trained contractors to operate across the U.S./Canada border may also depend upon regional and/or political constraints, which would further limit Acadian's ability to obtain skilled labour if such constraints were to materialize.

Dependence on the Lumber and Pulp and Paper Industries

Acadian's financial performance depends on the state of the lumber and pulp and paper industries, which may be cyclical. Demand for products from the lumber and pulp and paper industries is correlated with global economic conditions. In periods of economic weakness, reduced spending by consumers and businesses results in decreased demand for such products, resulting in lower product prices and possibly manufacturing downtime.

The demand for logs and wood products is particularly affected by the level of new residential construction activity, repair and remodeling activity and, to a lesser extent, other industrial uses. Decreases in the level of residential construction activity generally reduce demand for logs and wood products, resulting in lower revenues, profits, and cash flows for lumber mills who are important customers to Acadian. This, in turn, may result in lower net sales, profits and cash flows for Acadian.

In addition to impacting Acadian's sales, profits and cash flows, weakness in the market prices of its timber products may also have an effect on Acadian's ability to attract additional capital, its cost of that capital, and the value of its timberland assets.

Lack of Control Over Government Set Land Management Service Fees, Fair Market Values and Allowable Annual Cut

Acadian's revenue from operations in respect of the NB Crown Lands is generated from the harvesting service fees negotiated with wood users and land management service ("LMS") fees set by the Government of the Province of New Brunswick. Acadian has little control over the revenues from LMS fees as the Province dictates the LMS fees that Acadian receives. There is a risk that Acadian's overhead expenses incurred to provide services relating to the NB Crown Lands may not be fully recovered through the LMS fees set by the Province.

The Province periodically establishes the fair market values to be paid for the right to harvest timber on Crown Lands. Fair market values are established for each product and species harvested. Charges levied on timber harvested from Crown Lands are based on the amount of timber cut and the fair market value then in effect. A reduction in the fair market value charged on Crown Lands could make Acadian's timber harvested from the New Brunswick Timberlands less competitive.

The Allowable Annual Cut ("AAC") on Crown Lands for New Brunswick is determined by the Minister of Natural Resources and Energy Development of New Brunswick and reflects timber conditions, regional and local economic and social interests, and environmental considerations. A significant increase in the AAC on Crown Lands in any given year could have a negative impact on Acadian's ability to market its timber harvested from the New Brunswick Timberlands, particularly its spruce and fir sawlogs, which could have an adverse effect on Acadian's operating results.

Fuel and Energy Costs

Acadian relies almost exclusively on land transportation for delivering its timber and is therefore exposed to fluctuations in fuel cost. An increase in fuel cost may result in lower earnings and cash flows. In addition, many of Acadian's customers are high-energy consumers and, as a result, are themselves vulnerable to energy cost increases. If energy costs increase significantly, Acadian's customers may not be able to compete effectively and may have to reduce current operating volumes or close mills.

Limitations on Ability to Harvest

Weather conditions, timber growth cycles, property access limitations, availability of contract loggers and haulers, and regulatory requirements associated with the protection of wildlife and water resources may restrict Acadian's harvesting, as may other factors, including damage by fire, insect infestation, disease, prolonged drought, windstorms, flooding and other weather conditions, and natural and man-made disasters.

Changes in global climate conditions could intensify one or more of these factors. Although damage from such causes usually is localized and affects only a limited percentage of standing timber, there can be no assurance that any damage affecting Acadian's timberlands will in fact be so limited. There can be no assurance that Acadian will achieve harvest levels in the future necessary to maintain or increase revenues, earnings and cash flows.

Insect Infestations – Spruce Budworm

Eastern Spruce budworm (*Choristoneura fumiferana*) is an insect that exists at endemic levels in the forest. However, every 30-40 years, the insect's population has the potential to reach epidemic levels and cause extensive defoliation of balsam fir and spruce that may lead to tree mortality after several years of occurrence. While management has taken steps to monitor regional trends in spruce budworm activity and is prepared to adjust harvesting to mitigate potential losses of commercial timber, there can be no assurances that future harvest levels of the affected species will be achievable. While spruce budworm outbreaks are widespread in Quebec, the Early Intervention Strategy started in New Brunswick in 2014 has resulted in no material impact to Acadian's New Brunswick Timberlands to date.

During the summer of 2024, an increase in spruce budworm activity was noted in Maine, although not on Acadian's Maine Timberlands. The Maine Forest Service is developing an early intervention program expected to be similar to that in New Brunswick to manage the spruce budworm population. There has been no material impact to Acadian's Maine Timberlands to date.

Restrictions Imposed by Forestry and Environmental Regulations

While a significant portion of Acadian's timberlands are comprised of freehold timberlands and as such are subject to less regulation than the NB Crown Lands, provincial, state, and federal government regulations relating to forestry practices and sale of logs may result in increased costs for Acadian and accordingly, impact its financial results and operations. In addition, forestry and environmental regulations may restrict timber harvesting and may otherwise restrict the ability of Acadian to conduct its business. Although Acadian believes that it is in material compliance with these requirements, there can be no assurance that it will not incur significant costs, civil and criminal penalties and liabilities, including those relating to claims for damages to property or natural resources, resulting from its operations.

Laws, regulations and related judicial decisions and administrative interpretations affecting Acadian's business are subject to change and new laws and regulations that may affect its business are frequently enacted. Some of these laws and regulations could impose significant costs, penalties, and liabilities on Acadian for violations or existing conditions whether or not Acadian caused or knew about them. Acadian is subject to laws and regulations which relate to, among other things: the protection of timberlands, the protection of endangered species, air and water quality, and timber harvesting practices.

Regions with frequent policy changes add volatility to revenue streams and depress timberland values. Historically, New Brunswick has had relatively stable forestry regulations. Forest regulations in Maine have experienced volatility in the past but have not significantly impacted forest operations to date.

In connection with a variety of Acadian's operations, the Company may be required to make regulatory filings. Any of the government agencies could delay the review of or reject any of Acadian's filings which could result in a delay or restriction in harvesting, replanting, thinning, insect control or fire control.

Disease Outbreak

An outbreak or escalation of a contagious disease may adversely affect Acadian's business. A local, regional, national, or international outbreak or escalation of a contagious disease, including the COVID-19 coronavirus, Middle East Respiratory Syndrome, Severe Acute Respiratory Syndrome, H1N1 influenza virus, avian flu, or any other similar illness, or fear of the foregoing, could interrupt the businesses of Acadian's customers, cause labour shortages, interrupt services from third parties upon which Acadian relies, increase operating costs, result in governmental regulation adversely impacting its business, and otherwise have an adverse effect on its business, financial condition and results of operations.

Highly Competitive Industry

Timberland companies operate in a highly competitive business environment in which companies compete, to a large degree, on the basis of price and also on the basis of service and ability to provide a steady supply of products over the long-term. In Acadian's markets, there are many suppliers of softwood and hardwood logs. In addition, Acadian may also be subject to increased competition from worldwide suppliers importing forest products, and/or subject to increased competition from a variety of substitute products. Acadian's competitive position is also influenced by a number of other factors including: the availability, quality, and cost of labour; the cost of energy; the ability to attract and maintain long-term customer relationships; the quality of products and customer service; and foreign currency fluctuations.

Currency Risk

All of the sales from Maine Timberlands and a portion of the sales from New Brunswick Timberlands, representing a significant portion of gross revenues earned, are in U.S. dollars. In addition, all expenses incurred in respect of Maine Timberlands and a nominal amount of the expenses of New Brunswick Timberlands are in U.S. dollars and all of Acadian's debt financing and all interest payable thereon is in U.S. dollars. As a result, Acadian's cost competitiveness could be impacted by unfavourable fluctuations in currency exchange rates. In addition, the apparent historical correlation between currency rates and timber prices in regions within close proximity to the U.S./Canada border may weaken over time thereby undermining any hedge relating to Maine Timberlands. Acadian's customers are also susceptible to currency value fluctuations which may negatively impact the sawmills and pulp and paper mills to which Acadian sells its fibre, and accordingly the quantity of fibre sales to such customers could decline.

Forest Management

Although management believes it follows best practices with regard to forest sustainability and general forest management, there can be no assurance that the established harvest levels of NB Timberlands and Maine Timberlands and management's forest management planning, including silviculture, will have the intended result of ensuring that Acadian's asset base remains stable or appreciates over time. If management's estimates of merchantable inventory are incorrect or the annual harvest is too high, harvesting levels of Acadian's timberlands may result in depletion of Acadian's timber assets.

Geographic Concentration

Acadian's timberlands are located exclusively in Maine and New Brunswick. Accordingly, if the level of production from forests in this region substantially declines or demand in the region were to decline for any reason, including closure of pulp, paper or lumber manufacturing operations in the region, such changes could have a material adverse effect on Acadian's overall harvest levels and its financial results.

Insurance

Acadian's business is subject to risks from fire, insect infestation, disease, drought, severe weather, unforeseen equipment breakdowns, and other events, including events of force majeure, which could result in material damages to Acadian. As is common in the forest products industry, Acadian does not maintain insurance coverage for damage to its timberlands, but Acadian is insured against most other conventional business risks.

Seasonality

Acadian's operations are subject to seasonal variations and, as a result, Acadian's operating results vary from quarter to quarter. Harvesting activity can be compromised by inaccessibility to some sites during wet seasons resulting in decreased harvest levels. Results of one quarter will not be indicative of results that may be achieved in other quarters or for the full year.

Non-Timber Income

New Brunswick Timberlands and Maine Timberlands have several sources of non-timber income including sales of carbon credits, various land leases for recreational and commercial use, and a recreational access permit program. Most of these revenues are not subject to long-term agreements and as a result, any decrease in the activities that lead to those revenues could impact Acadian.

Protection of Threatened or Endangered Species and Waterways

Federal, state, and provincial laws and regulations protecting threatened or endangered species, waterways and wetlands or other environmental values may limit or prevent timber harvesting, road building and other activities of Acadian. The size of the area subject to restriction will vary depending on the protected species at issue, the time of year, and other factors, but can range from less than one to several thousand acres. As Acadian gains additional information regarding the presence of threatened or endangered species on its timberlands, or if regulations become more restrictive, the amount of its timberlands subject to harvest restrictions could increase.

Climate-related Legislation or Regulation

There are several international, federal, provincial and state-level proposals addressing domestic and global climate issues. Generally, such proposals could impose regulation or taxation on the production of carbon dioxide and other "greenhouse gases" in an attempt to reduce emissions to the atmosphere and provide tax and other incentives to produce and use more "clean energy". Any future legislative and regulatory activity in this area could affect Acadian and its operations.

Physical Risks Related to Climate Change

Acadian's timberlands may be adversely affected by changes in global climate conditions, including increases in average temperatures, that may increase risks of severe weather events, such as prolonged drought or flooding. Climate change could exacerbate current risks including damage by fire, insect infestation and disease which could in turn impact the health, growth rate, and species mix of Acadian's timber.

Cybersecurity

Acadian relies on information technology to carry out its operational activities, maintain its business records, collect and store sensitive data, including intellectual property, other proprietary and personally identifiable information. A security failure of that technology could impact Acadian's ability to operate its businesses effectively, adversely affect its reported financial results, impact its reputation, and expose it to potential liability or litigation.

Some systems are internally managed, and some are maintained by third-party service providers. Acadian and its service providers employ what are believed to be reasonably adequate security measures, but notwithstanding these efforts, systems could be compromised as a result of a cyber incident, natural disaster, hardware or software corruption, failure or error, telecommunications system failure, service provider error or failure, intentional or unintentional actions by personnel or other disruption. If by any cause systems or information resources were compromised, or if data were destroyed, misappropriated or inappropriately disclosed Acadian could suffer significant loss or incur significant liability, including: damage to reputation; loss of customer confidence or goodwill; and significant expenditures of time and money to address and remediate resulting damages to affected individuals or business partners, or to defend Acadian in resulting litigation or other legal proceedings, by affected individuals, business partners or regulators.

Loss of Key Management and Inability to Attract and Retain Key Staff

Acadian's success depends, to a significant extent, upon its ability to attract, retain, and develop senior management, operations management, and other key personnel. Its financial condition or results of operations could be significantly

adversely affected if Acadian were to fail to recruit, retain, and develop such personnel, or if there were to occur any significant increase in the cost of providing such personnel with competitive total compensation and benefits.

Land Claims¹

Land claims could adversely affect Acadian's ability to harvest timber. Canadian courts have recognized that Aboriginal people may possess rights at law in respect of land used or occupied by their ancestors where treaties have not been concluded to deal with these rights. In Canada, Aboriginal groups have made claims in respect of land governed by Canadian authorities as well as land owned by private land owners, which could affect a portion of the land covered by Twin Rivers' Crown licenses as well as the land owned by Acadian. Any settlements in respect of these claims could lower the volume of timber managed by Acadian and could increase the cost to harvest timber on such lands.

On November 30, 2021, the Wolastoqey Nation (made up of six Maliseet First Nations) filed an Action in the Court of Queen's Bench of New Brunswick naming the Province of New Brunswick and the Attorney General of Canada and several other forestry and other companies operating in New Brunswick as defendants. Acadian's subsidiaries Acadian Timber Limited Partnership by its General Partner, Acadian Timber GP Inc., and Acadian Timber GP Inc. are among the defendants in this Action. The Action seeks, in part, a declaration of Aboriginal Title to the land currently owned by the defendants in New Brunswick, including Acadian.

Acadian filed a Notice of Intent to Defend and a Motion to Dismiss the case. On November 14, 2024, the Motion to Dismiss was granted. Acadian has filed a Notice of Appeal surrounding certain aspects of the dismissal. It could be many years before any court decision is rendered if the Action proceeds to court. The outcome of the claim is not determinable at this early stage. No assurances can be given that the claim would not have a material effect on Acadian's financial position, results or operations. Should such claim be resolved by government or the courts in favour of the Wolastoqey Nation, it could materially adversely affect the business of Acadian.

Litigation

Acadian is subject to litigation risks. Defence and settlement costs of legal claims can be substantial, even with respect to claims that have no merit. Due to the inherent uncertainty of the litigation process, the resolution of any particular legal proceeding to which Acadian is or may become subject could have a material effect on its financial position, results of operations or Acadian's operations.

Undetected Environmental Liabilities

Acadian may currently own or may acquire properties subject to environmental and other liabilities, such as obligations to clean up or pay for the cleanup of contamination. While timberlands do not generally carry as high of a risk of environmental contamination as industrial properties, the cost of cleanup of contaminated properties could increase Acadian's operating costs.

Ability to Identify and Complete Investment Opportunities

Acadian's growth strategy is to acquire high-quality timberland investments with the objective of achieving appropriate risk-adjusted returns on its invested capital over the long-term. However, there is no certainty that Acadian will be able to find and complete sufficient investment opportunities that meet its investment criteria. Acadian's investment criteria considers, among other things, the financial, operating, governance and strategic merits of a proposed acquisition. Competition for assets is significant and competition from other well-capitalized investors or companies may significantly increase the purchase price or prevent Acadian from completing an acquisition.

¹ The following contains forward-looking information. Reference should be made to the section entitled "Cautionary Statement Regarding Forward-Looking Information and Statements" for further details. For a description of material factors that could cause actual results to differ materially from the forward-looking information in the following, please see the Risk Factors section of this MD&A and our Annual Information Form available on our website at www.acadiantimber.com or www.sedarplus.ca.

Risks Related to the Structure of the Company

Payment of Dividends

As a corporation, the Company's dividend policy will be at the discretion of the Company's Board of Directors. Future dividends, if any, will depend on the operations and assets of the Company and its subsidiaries, and will be subject to various factors, including, without limitation, the Company's financial performance, fluctuations in its working capital, the sustainability of its margins, its capital expenditure requirements, obligations under its credit facilities, provisions of applicable law and other factors that the Board of Directors may deem relevant from time to time. Accordingly, the payment of dividends by the Company and the level thereof will be uncertain.

Market Price of Common Shares

The market price of the Common Shares may be subject to wide fluctuations in response to many factors, including variations in the operating results of Acadian, divergence in financial results from expectations, changes in the business prospects for Acadian, general economic conditions, legislative changes, and other events and factors outside of the Company's control. In addition, stock markets have from time-to-time experienced extreme price and volume fluctuations, which, as well as general economic and political conditions, could adversely affect the market price for the Common Shares. The Company is unable to predict whether substantial amounts of Common Shares will be sold in the open market. Any sales of substantial amounts of Common Shares in the public market, or the perception that such sales might occur, could materially and adversely affect the market price of the Common Shares and the ability of the Company to raise capital.

Dilution of Existing Shareholders

The Company is permitted to issue an unlimited number of Common Shares pursuant to its Articles and may do so, subject to compliance with the rules and regulations of the TSX and other applicable securities regulations, for that consideration and on those terms and conditions as shall be established by the Company's Board of Directors without the approval of any Shareholders. The Shareholders will have no pre-emptive rights in connection with such further issuances.

Leverage and Restrictive Covenants in Agreements Relating to Indebtedness

The ability of the Company and its subsidiaries to pay dividends or make other payments or advances is subject to applicable laws and contractual restrictions contained in the instruments governing any indebtedness of those entities (including the credit facilities). The degree to which the Company is leveraged could have important consequences to the Shareholders including: the Company's ability to obtain additional financing for working capital, capital expenditures or acquisitions; a significant portion of the Company's cash flow from operations may be dedicated to the payment of the principal and interest on its indebtedness, thereby reducing funds available for future operations; certain borrowings may be at variable rates of interest, which exposes the Company to the risk of increased interest rates; and the Company may be more vulnerable to economic downturns and be limited in its ability to withstand competitive pressures.

The terms of the credit facilities include numerous restrictive covenants that limit the discretion of the Company's management with respect to certain business matters. These covenants place significant restrictions on, among other things, the ability of the Company and its subsidiaries to create liens or other encumbrances, or make certain other payments, investments, loans and guarantees and to sell or otherwise dispose of assets and merge or consolidate with another entity. In addition, the terms of the credit facilities include financial covenants that require the Company to meet certain financial ratio tests. A failure by the Company to comply with the obligations relating to the credit facilities could result in a default which, if not cured or waived, could result in a termination of dividends by the Company and require accelerated repayment of the relevant indebtedness. If the repayment of indebtedness under the credit facilities were to be accelerated, there can be no assurance that the assets of the Company would be sufficient to repay in full that indebtedness. There can be no assurance that the credit facilities will be able to be refinanced or refinanced on acceptable terms or that future borrowings or equity financings will be available to the Company, or available on acceptable terms, in an amount sufficient to fund the Company's needs. This could, in turn, have a material adverse effect on the business, financial condition and results of operations of the Company and could therefore affect the ability of the Company to pay dividends on its Common Shares.

Cautionary Statement Regarding Forward-Looking Information and Statements

This MD&A contains forward-looking information and statements within the meaning of applicable Canadian securities laws that involve known and unknown risks, uncertainties and other factors that may cause the actual results, performance or achievements of Acadian Timber Corp. and its subsidiaries (collectively, “Acadian”), or industry results, to be materially different from any future results, performance or achievements expressed or implied by such forward-looking statements. Forward-looking information is included in this MD&A and includes statements made in the sections entitled “Segmented Results of Operations – Environmental Solutions”, “Acquisition of Timberlands”, “Solar Land Lease Agreement”, “Outlook”, “Internal Harvesting Operations”, “Tariffs on U.S. Imports” and “Land Claims” and without limitation other statements regarding management’s beliefs, intentions, results, performance, goals, achievements, future events, plans and objectives, business strategy, growth strategy and prospects, access to capital, liquidity and trading volumes, dividends, taxes, capital expenditures, projected costs, market trends and similar statements concerning anticipated future events, results, achievements, circumstances, performance or expectations that are not historical facts. All forward-looking statements in this MD&A are qualified by these cautionary statements. Forward-looking statements involve significant risks and uncertainties, should not be read as guarantees of future performance or results, should not be unduly relied upon, and will not necessarily be accurate indications of whether or not such results will be achieved. Actual results may vary. These forward-looking statements include, but are not limited to:

- Expectations regarding the number and timing of carbon credits that will be successfully registered and available for sale. Actual credit issuances will be adjusted each reporting period based on actual harvesting, natural disturbances and other factors, as well as periodic updating for inventory and verification activities.*
- Expectations regarding advancement through the terms of the solar land lease agreement and the resulting potential financial impact to Acadian, which may be impacted by the lessee’s ability to obtain the necessary regulatory permits and approvals for the solar project, as well as to obtain third party financing. At any time during the inspection term or the development term, the tenant has the right to terminate the agreement which would terminate the lease fees paid to Acadian.*
- Expectations regarding potential future revenue to be earned from newly acquired timberlands through either expanding harvesting operations or realizing other land use revenue opportunities, which may be impacted by future contractor availability, product demand, pricing and end use markets.*
- Expectations regarding product demand, pricing and end use markets, including expectations for U.S. housing starts, which may be impacted by changes in interest rates, U.S. population demographics and the inventory of homes for sale. Expectations regarding product demand and pricing are based on anticipated market conditions, anticipated regional inventory levels of key customers, and the economic situation of key customers. Estimates for U.S. housing starts are based on forecasts published by major financial institutions.*
- Expectations regarding future production volumes and costs associated with internal harvesting operations which may be impacted by operational efficiency, the regional supply of skilled operators, product demand, pricing and end use markets.*
- Expectations regarding the impacts of potential tariffs levied on all U.S. imports from Canada, which may include direct impacts related to changes to the price of and demand for Acadian’s products originating in Canada as well as the U.S., and indirect impacts associated with changes in the price of and demand for the products of Acadian’s key customers and the greater economy.*
- Expectations regarding future contractor availability, which may be impacted by regional supply of trained contractors and changes in the demographics of the available workforce.*
- Expectations regarding the outcome of ongoing litigation, which may be impacted by negotiations and actions taken by the Province of New Brunswick or the Attorney General of Canada, judicial decisions in this matter or other matters that may create precedent.*

Other risks and factors are discussed under the heading “Risk Factors” in this MD&A and in the Annual Information Form dated March 28, 2024 and other filings of Acadian made with securities regulatory authorities, which are available on SEDAR+ at www.sedarplus.ca. Forward-looking information is based on various material factors or assumptions, which are based on information currently available to Acadian. Readers are cautioned that the preceding list of material factors or assumptions is not exhaustive. Although the forward-looking statements contained in this MD&A are based upon what management

believes are reasonable assumptions, Acadian cannot assure readers that actual results will be consistent with these forward-looking statements. The forward-looking statements in this MD&A are made as of the date of this MD&A based on information currently available to management and should not be relied upon as representing Acadian's views as of any date subsequent to the date of this MD&A. Acadian assumes no obligation to update or revise these forward-looking statements to reflect new information, events, circumstances or otherwise, except as may be required by applicable law.

MANAGEMENT'S RESPONSIBILITY FOR FINANCIAL REPORTING

To the Shareholders of Acadian Timber Corp.:

The accompanying consolidated financial statements of Acadian Timber Corp. (the "Company") and all information in this annual report are the responsibility of management and have been reviewed and approved by the Company's Board of Directors. These consolidated financial statements and related notes have been prepared by management in conformity with IFRS Accounting Standards and necessarily include amounts based on management's informed judgements and estimates. Financial information included elsewhere in this annual report is consistent with that contained in the consolidated financial statements.

To assist management in fulfilling its responsibilities, a system of internal accounting controls has been established to provide reasonable assurance that the consolidated financial statements are accurate and reliable and that assets are safeguarded. Management has determined that this system of internal controls is designed and operating effectively for the year ended December 31, 2024.

PricewaterhouseCoopers LLP, appointed by the shareholders, have audited the consolidated financial statements in accordance with Canadian generally accepted auditing standards to enable them to express an opinion on the consolidated financial statements. Their report is set out on the following page.

The Board of Directors, through its Audit Committee, is responsible for ensuring that management fulfills its responsibilities for financial reporting and internal controls, and is ultimately responsible for reviewing and approving the consolidated financial statements and management's discussion and analysis. The Audit Committee is composed of four independent directors who are not employees of the Company. The Audit Committee meets regularly with management and PricewaterhouseCoopers LLP to review their activities and to discuss internal control, accounting, auditing and financial matters. PricewaterhouseCoopers LLP have full and direct access to the Audit Committee and meet periodically both with and without the presence of management to discuss their audit and related findings.

The Audit Committee recommends the appointment of the external auditors. The Audit Committee also meets quarterly to review interim and annual consolidated financial statements and related materials and reports its findings to the Board of Directors for its consideration in approving the consolidated interim and annual consolidated financial statements for public dissemination.



Adam Sheparsi
President and Chief Executive Officer



Susan Wood
Chief Financial Officer

February 12, 2025



Independent auditor's report

To the Shareholders of Acadian Timber Corp.

Our opinion

In our opinion, the accompanying consolidated financial statements present fairly, in all material respects, the financial position of Acadian Timber Corp. and its subsidiaries (together, the Company) as at December 31, 2024 and 2023, and its financial performance and its cash flows for the years then ended in accordance with IFRS Accounting Standards as issued by the International Accounting Standards Board (IFRS).

What we have audited

The Company's consolidated financial statements comprise:

- the consolidated balance sheets as at December 31, 2024 and 2023;
- the consolidated statements of net income for the years then ended;
- the consolidated statements of comprehensive income for the years then ended;
- the consolidated statements of changes in equity for the years then ended;
- the consolidated statements of cash flows for the years then ended; and
- the notes to the consolidated financial statements, comprising material accounting policy information and other explanatory information.

Basis for opinion

We conducted our audit in accordance with Canadian generally accepted auditing standards. Our responsibilities under those standards are further described in the *Auditor's responsibilities for the audit of the consolidated financial statements* section of our report.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Independence

We are independent of the Company in accordance with the ethical requirements that are relevant to our audit of the consolidated financial statements in Canada. We have fulfilled our other ethical responsibilities in accordance with these requirements.

PricewaterhouseCoopers LLP
Cogswell Tower, 2000 Barrington Street, Suite 1101, Halifax, Nova Scotia, Canada B3J 3K1
T.: +1 902 491 7400, F.: +1 902 422 1166, Fax to mail: ca_halifax_main_fax@pwc.com



Key audit matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the consolidated financial statements for the year ended December 31, 2024. These matters were addressed in the context of our audit of the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Key audit matter	How our audit addressed the key audit matter
Valuation of timber and land under timber <i>Refer to note 2 – Material accounting policies, note 4 – Timber and note 5 – Land, roads and other fixed assets to the consolidated financial statements.</i> As at December 31, 2024, the Company had timber and land under timber of \$471.9 million and \$88.7 million, respectively. The Company measures timber at fair value. The fair value of timber is determined by deducting the fair values of land under timber, roads and bridges from the fair value of the freehold timberlands, which include all the above assets plus the timber. The fair value of the freehold timberlands is determined by management with assistance from a licensed independent third-party appraiser (management's expert) using a weighted combination of two methods, the discounted cash flow and comparative sales methods. Significant assumptions used in (i) the discounted 30-year cash flow models included the discount rates, the net timber values per m³ of timber sold, selling price of voluntary carbon credits and volumes of offset tonnes generated; and (ii) the comparative sales method included the adjusted benchmark sale prices per hectare. All of these significant assumptions are subject to management judgment. Land under timber is measured using the revaluation method and is not depreciated. The fair value of land under timber is based on soil expectation value analysis using discounted cash flow models, which measures the net present value of bare land if used in perpetual timber production. Significant assumptions used in the discounted	Our approach to addressing the matter included the following procedures, among others: • Tested how management determined the fair values of timber and land under timber, which included the following: – Gained an understanding of the valuation process. – Professionals with specialized skill and knowledge in the field of timberland valuations assisted with the following: ◦ Evaluating the appropriateness of the methods, the discounted cash flow models and the comparative sales valuations used to determine each of the fair values of the freehold timberlands and land under timber. ◦ Evaluating the reasonableness of the significant assumptions used in the discounted 30-year cash flow models related to the fair values of the freehold timberlands, which included the discount rates, the net timber values per m³ of timber sold, selling price of voluntary carbon credits and volumes of offset tonnes generated by considering, as relevant, the Company's Forest Management Plan, current and past performance of the Company and external industry data. ◦ Evaluating the reasonableness of the significant assumptions used in the

Key audit matter	How our audit addressed the key audit matter
cash flow models included the discount rates and stumpage values per m³ of timber sold. Valuations are completed annually by management with assistance from management's expert, concurrently with the aforementioned valuation of the freehold timberlands. We considered this a key audit matter due to (i) the significance of the timber and land under timber balances; and (ii) the judgments made by management in determining each of the fair values of the freehold timberlands and land under timber and the significant assumptions used, which resulted in complexity and increased audit effort to evaluate the appropriateness of the methods and the reasonableness of the significant assumptions used by management. In addition, the audit effort involved the use of professionals with specialized skill and knowledge in the field of timberland valuations.	comparative sales valuations related to the fair values of the freehold timberlands, which included the adjusted benchmark sale prices per hectare, by considering external market data and recent comparable sales. - o Evaluating the reasonableness of the significant assumptions related to the fair values of the land under timber, which included the discount rates and the stumpage values per m³ of timber sold by considering, as relevant, the Company's Forest Management Plan, current and past performance of the Company and external industry data. – Tested the underlying data used in the discounted cash flow models and the comparative sales valuations. • Tested the disclosures made in the consolidated financial statements, particularly with regard to the sensitivity of the significant assumptions used.

Other information

Management is responsible for the other information. The other information comprises the Management's Discussion and Analysis and the information, other than the consolidated financial statements and our auditor's report thereon, included in the annual report.

Our opinion on the consolidated financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the consolidated financial statements, our responsibility is to read the other information identified above and, in doing so, consider whether the other information is materially inconsistent with the consolidated financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated.

If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.



Responsibilities of management and those charged with governance for the consolidated financial statements

Management is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with IFRS, and for such internal control as management determines is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's financial reporting process.

Auditor's responsibilities for the audit of the consolidated financial statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with Canadian generally accepted auditing standards will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.

As part of an audit in accordance with Canadian generally accepted auditing standards, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or



conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the consolidated financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Plan and perform the group audit to obtain sufficient appropriate audit evidence regarding the financial information of the entities or business units within the Company as a basis for forming an opinion on the consolidated financial statements. We are responsible for the direction, supervision and review of the audit work performed for purposes of the group audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the consolidated financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

The engagement partner on the audit resulting in this independent auditor's report is Maxime Lessard.

/s/PricewaterhouseCoopers LLP

Chartered Professional Accountants

Halifax, Nova Scotia
February 12, 2025

CONSOLIDATED BALANCE SHEETS

<i>As at December 31</i>			
<i>(CAD thousands)</i>	Note	2024	2023
Assets			
Current assets			
Cash and cash equivalents		\$ 15,250	\$ 1,831
Accounts receivable and other assets		8,576	9,301
Current income taxes receivable		—	1,668
Inventories	3	2,094	15,329
		25,920	28,129
Timber	4	471,890	442,830
Land, roads, and other fixed assets	5	104,067	90,854
Intangible asset		6,140	6,140
Total assets		\$ 608,017	\$ 567,953
Liabilities and shareholders' equity			
Current liabilities			
Accounts payable and accrued liabilities		\$ 10,922	\$ 9,370
Current income taxes payable		229	—
Dividends payable to shareholders		5,126	4,983
Current portion of long-term debt	6	46,045	—
		62,322	14,353
Long-term debt	6	68,896	105,515
Deferred income tax liabilities, net	12	137,770	129,103
Total liabilities		268,988	248,971
Shareholders' equity	7	339,029	318,982
Total liabilities and shareholders' equity		\$ 608,017	\$ 567,953

See accompanying notes to consolidated financial statements.



Malcolm Cockwell
Director



Bruce Robertson
Director

CONSOLIDATED STATEMENTS OF NET INCOME

<i>For the Years Ended December 31</i>			
<i>(CAD thousands, except per share data)</i>	Note	2024	2023
Sales	9	\$ 116,185	\$ 93,477
Operating costs and expenses			
Cost of sales		77,920	63,895
Selling, administration and other		12,520	8,127
Silviculture		1,569	1,526
Depreciation and amortization		517	363
		92,526	73,911
Operating income		23,659	19,566
Interest expense, net		(3,121)	(3,153)
Other items			
Fair value adjustments and other		9,911	22,975
Gain on sale of timberlands and other fixed assets		539	657
Income before income taxes		30,988	40,045
Income tax expense	12	(9,250)	(10,611)
Net income		21,738	29,434
Net income per share – basic and diluted	8	\$ 1.24	\$ 1.72

See accompanying notes to consolidated financial statements.

CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME

<i>For the Years Ended December 31</i>			
<i>(CAD thousands)</i>	Note	2024	2023
Net income		\$ 21,738	\$ 29,434
Other comprehensive income / (loss)			
Items that may be reclassified subsequently to net income:			
Gain on revaluation of land and roads, net of deferred income tax expense of \$1,706 (2023 – \$1,027)		4,799	2,522
Unrealized foreign currency translation gain / (loss), net of deferred income tax recovery of \$369 (2023 – deferred income tax expense of \$369)	11	5,120	(1,748)
		9,919	774
Comprehensive income		\$ 31,657	\$ 30,208

See accompanying notes to consolidated financial statements.

CONSOLIDATED STATEMENTS OF CHANGES IN EQUITY

<i>For the Years Ended December 31</i> <i>(CAD thousands)</i>	Note	Common Share Capital	Retained Earnings	Revaluation Surplus	Currency Translation	Shareholders' Equity
Balances as at December 31, 2022		\$ 142,765	\$ 101,992	\$ 31,345	\$ 27,621	\$ 303,723
Changes during the year						
Net income		—	29,434	—	—	29,434
Other comprehensive income / (loss)		—	—	2,522	(1,748)	774
Shareholders' dividends declared	13	—	(19,802)	—	—	(19,802)
Common shares issued - DRIP	7	4,853	—	—	—	4,853
Balances as at December 31, 2023		\$ 147,618	\$ 111,624	\$ 33,867	\$ 25,873	\$ 318,982
Changes during the year						
Net income		—	21,738	—	—	21,738
Other comprehensive income		—	—	4,799	5,120	9,919
Shareholders' dividends declared	13	—	(20,259)	—	—	(20,259)
Common shares issued - DRIP	7	8,649	—	—	—	8,649
Balances as at December 31, 2024		\$ 156,267	\$ 113,103	\$ 38,666	\$ 30,993	\$ 339,029

See accompanying notes to consolidated financial statements.

CONSOLIDATED STATEMENTS OF CASH FLOWS

<i>For the Years Ended December 31</i>		
<i>(CAD thousands)</i>	2024	2023
Cash provided by (used for):		
Operating activities		
Net income	\$ 21,738	\$ 29,434
Adjustments to net income:		
Income tax expense	9,250	10,611
Depreciation and amortization	517	363
Fair value adjustments and other	(9,911)	(22,995)
Non-cash cost of sales related to carbon credits	14,178	20
Gain on sale of timberlands and other fixed assets	(539)	(657)
Income taxes paid	(3,426)	(3,679)
Net change in non-cash working capital balances and other	2,239	(2,684)
	34,046	10,413
Financing activities		
Proceeds from short-term debt	10,298	—
Repayment of short-term debt	(10,298)	—
Dividends paid to shareholders	(11,488)	(14,868)
	(11,488)	(14,868)
Investing activities		
Additions to timber, land, roads, and other fixed assets	(10,499)	(619)
Proceeds from sale of timberlands and other fixed assets	1,360	675
	(9,139)	56
Increase / (decrease) in cash and cash equivalents, during the year	13,419	(4,399)
Cash and cash equivalents, beginning of year	1,831	6,230
Cash and cash equivalents, end of year	\$ 15,250	\$ 1,831

See accompanying notes to consolidated financial statements.

Details of net change in non-cash working capital balances and other:

<i>For the Years Ended December 31</i>		
<i>(CAD thousands)</i>	2024	2023
Accounts receivable and other assets	\$ 725	\$ (1,036)
Inventories	(501)	514
Accounts payable and accrued liabilities	1,552	(1,836)
Other	463	(326)
	\$ 2,239	\$ (2,684)

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

December 31, 2024 and 2023 (All figures in Canadian dollars unless otherwise stated)

1. GENERAL

Acadian Timber Corp. (the “Company”) is governed by the *Canada Business Corporations Act* pursuant to articles of arrangement dated January 1, 2010. The Company is a reporting issuer and its common shares are publicly traded on the Toronto Stock Exchange under the stock symbol “ADN”. The principal and head office of the Company is located at 6 Crabtree Ave., Edmundston, New Brunswick, E3V 3K5.

The Company and all of its consolidated subsidiaries (collectively “Acadian”) own and manage approximately 775,000 acres (December 31, 2023 – 761,000 acres) of freehold timberlands in New Brunswick (“NB Timberlands”) and approximately 300,000 acres of freehold timberlands in Maine (“Maine Timberlands”) and provide timber services relating to approximately 1.3 million acres of Crown licensed timberlands in New Brunswick. Acadian’s primary business is forest management and the production of timber products, including softwood and hardwood sawlogs, pulpwood, and biomass by-products, sold to approximately 90 regional customers. Acadian also generates income through other operations, including real estate and environmental solutions.

As at December 31, 2024, Macer Forest Holdings Inc. owns 8,473,299 shares representing approximately 49% of the outstanding shares of the Company.

2. MATERIAL ACCOUNTING POLICIES

Statement of Compliance

These consolidated financial statements present the financial performance of Acadian for the year ended December 31, 2024, along with the comparative results for the year ended December 31, 2023. These consolidated financial statements have been prepared in accordance with IFRS Accounting Standards as issued by the International Accounting Standards Board (“IFRS”) and were authorized for issuance by the Board of Directors on February 12, 2025.

Basis of Presentation

The consolidated financial statements have been prepared on the basis of historical cost, except for timber, land, roads on freehold land and liabilities related to share-based compensation, which are carried at fair value. The reporting currency of the Company is the Canadian dollar. All currency amounts in these consolidated financial statements are presented in Canadian dollars (“CAD”) and rounded to the nearest thousand, unless otherwise stated.

Cash and Cash Equivalents

Cash relates to cash in banks. Cash equivalents relate to short-term deposits with an original maturity of less than ninety days.

Inventory

Inventory consists primarily of logs and registered voluntary carbon credits, which are measured at the lower of cost and net realizable value.

Log inventory

Log inventory has been segregated into species groupings and by category of sawlogs and pulp logs. Cost for each grouping of harvested logs consists of a twelve-month rolling average, calculated one month in arrears, of costs to harvest and deliver logs to the yard and convert them into separate products as applicable, plus a charge for the fair value of timber harvested.

Carbon credit inventory

The value of carbon credits expected to be developed is initially recorded at fair value as part of the timber asset in accordance with IAS 41 Agriculture. Once registered on a carbon registry system and made available for sale, the carrying amount attributable to the carbon credits initially recorded within the timber asset is reclassified to inventory.

Timber

Timber is carried at fair value. The fair value of timber is determined by deducting the fair value of land under timber, roads and bridges from the total fair value of the freehold timberlands. The fair value of the freehold timberlands is reassessed on

an annual basis with the assistance of licensed independent third-party appraisers using a combination of the discounted cash flow and comparative sales value methods. Gains or losses arising from changes in fair value of timber are recognized in net income.

Timber that has been processed into logs and on which the volume has been accurately determined is included in log inventory.

Land, Roads and Other Fixed Assets

Land under timber and roads on freehold land are measured using the revaluation method. They are carried at the revalued amounts and are not depreciated. The fair values are determined annually with the assistance of licensed independent third-party appraisers. Where the carrying amount of an asset is increased as a result of a revaluation, the increase is recognized in income to the extent the increase reverses a previously recognized impairment recorded through income, with the remainder of the increase recognized in other comprehensive income (“OCI”) and accumulated in revaluation surplus. Where the carrying amount of an asset is decreased, the decrease is recognized in OCI to the extent of any balance existing in revaluation surplus in respect of the asset, with the remainder of the decrease recognized in income as an impairment loss.

Buildings, equipment, pavement, software and certain bridges are measured at cost less accumulated depreciation. Bridges that are nine metres or greater in length, constructed of steel and/or concrete and located on permanent roads are measured at cost less accumulated depreciation. All other bridges are expensed as constructed.

Depreciation on fixed assets is calculated on a straight-line basis so as to write down the net cost of each asset over its expected useful life to its estimated residual value using the following estimates of useful life:

Bridges	20 to 35 years
Buildings	20 years
Equipment	3 to 10 years
Pavement	8 years
Software	5 years

The estimated useful lives, residual values and depreciation method are reviewed at the end of each annual reporting period, with the effect of any changes recognized on a prospective basis.

Impairment of Long-lived Assets

Long-lived assets, other than timber, are assessed at each consolidated balance sheet date for indications of impairment or reversal of a previously recognized impairment. If any such indication exists, the recoverable amount of the asset is estimated and compared to its carrying amount.

The recoverable amount is the higher of the estimated fair value less costs to dispose or value in use of the asset. In assessing value in use, the estimated future cash flows are discounted using a pre-tax discount rate that reflects current market assessment of the time value of money and the risks specific to the asset. The projections of future cash flows take into account the relevant operating plans and management’s best estimate of the most probable set of conditions anticipated to prevail.

An impairment loss is recognized if the recoverable amount of the asset is estimated to be less than the carrying amount. The impairment loss is recognized in net income, unless the relevant asset is carried at a revalued amount, in which case the impairment loss is recognized first as a decrease to revaluation surplus.

Intangible Asset

Acadian recognizes an intangible asset for the Crown Lands Services Agreement between NB Timberlands and Twin Rivers Paper Company (“Twin Rivers”). Under this agreement, NB Timberlands has agreed to provide various services relating to the Crown Lands in consideration for a fee from Twin Rivers. The Crown Lands Services Agreement has a term equal to the term of the Crown licenses, including any renewal terms, which is considered indeterminable as at December 31, 2024. The Crown

Lands Services Agreement is classified as an indefinite-life intangible asset and is tested for impairment annually, or more frequently if events or changes in circumstances indicate that this asset may be impaired. During the year, no additions, disposals, impairments or reversal of impairments were recorded against the Company's intangible asset balance.

Revenue Recognition

Sales are net of discounts and rebates to customers, if any. Revenue earned from the sales of timber products is recognized when control passes to the customer, which is when timber is delivered to the customer and actual quantities delivered are determined. Timber product sales are governed primarily by contractual terms with customers.

Revenue earned from the sale of voluntary carbon credits is recognized when control transfers to the end customer, which is when registered carbon credits are transferred to, or retired on behalf of, the end customer.

Pursuant to the Crown Lands Services Agreement, Acadian provides various services relating to Crown Lands in consideration for fees. These fees are recognized over time as the services are performed. Acadian also provides certain silviculture services for which the revenue is recognized as services are performed.

Share-based Compensation

The Company issues share-based compensation to members of the Board of Directors comprised of deferred stock units, which are cash-settled. The fair value of units granted to Directors is recognized as an expense in the period the units are granted.

The Company issues share-based compensation to certain employees comprised of restricted stock units or deferred stock units, which are cash-settled. The fair value of units granted to employees is recognized over the vesting period.

The Company remeasures the fair value of the liability related to share-based compensation at the end of each reporting period with any changes in fair value recognized as an expense. Fair value is determined with reference to the market value of a common share of the Company.

Translation of Foreign Currencies

The Canadian dollar is the presentation currency of the Company. The functional currency of Acadian's Canadian and U.S. subsidiaries is the Canadian dollar and U.S. dollar, respectively. Assets and liabilities of the U.S. subsidiaries are translated at the rate of exchange prevailing at the reporting date and revenue and expenses at the average rates during the year. Gains or losses on translation of these items are included as a component of shareholders' equity.

NB Timberlands enters into sales transactions denominated in U.S. dollars. The gain or loss on translation of the related revenue and accounts receivable is recorded in net income in the period incurred.

The carrying value of Acadian's U.S. dollar denominated debt is subject to exchange rate fluctuations and has been designated as a hedging instrument in the hedging relationship described within Financial Instruments.

Financial Instruments

A financial asset or financial liability is recognized when the Company becomes party to the contractual provisions of the instrument and is initially measured at fair value plus or minus, for an item not at fair value through profit or loss, transaction costs directly attributable to its acquisition or issue.

Financial assets are subsequently measured at amortized cost, fair value through other comprehensive income ("FVOCI") or fair value through profit or loss ("FVTPL"). Cash and accounts receivable and other assets have been classified as measured at amortized cost using the effective interest method. No financial assets have been classified as measured at FVOCI or FVTPL.

Financial liabilities are subsequently measured at amortized cost or FVTPL. Accounts payable and accrued liabilities, dividends payable to shareholders and long-term debt have been measured at amortized cost.

The Company has not elected to designate any financial assets or liabilities as measured at FVTPL.

Financial assets are derecognized when the contractual rights to the cash flows expire or it transfers the rights to receive the contractual cash flows. Financial liabilities are derecognized when the contractual obligations are discharged, cancelled, or expire, or the terms and cash flows are modified to be substantially different.

Financial assets and financial liabilities are offset and the net amount presented in the balance sheet when the Company currently has a legally enforceable right to set off the amounts and it intends either to settle them on a net basis or to realize the asset and settle the liability simultaneously.

Loss allowances for expected credit losses are recognized on financial assets measured at amortized cost. Loss allowances on accounts receivable and other assets are measured based on the expected credit loss model, which takes into account current economic conditions, historical information and forward-looking information.

Hedge Accounting

Acadian has designated a hedging relationship between part of the net investment in its Maine subsidiary and its U.S. dollar-denominated debt. At inception of designated hedging relationships, Acadian documents the risk management objective and strategy for undertaking the hedge. Acadian also documents the economic relationship between the hedged item and the hedging instrument, including whether the changes in cash flows of the hedged item and hedging instrument are expected to offset each other.

When a financial liability is designated as the hedging instrument in a hedge of a net investment in a foreign operation, the effective portion of changes in foreign exchange gains and losses is recognized in OCI and presented in Currency Translation within equity. Any ineffective portion of the changes in foreign exchange gains and losses is recognized immediately in profit or loss. The amount recognized in OCI is fully or partially reclassified to profit or loss as a reclassification adjustment on disposal or partial disposal of the foreign operation.

Fair Value Hierarchy Levels

The fair value of a financial instrument is the amount of consideration that would be agreed upon in an arm's-length transaction between knowledgeable and willing parties who are under no compulsion to act. Fair values are determined based on prevailing market rates for instruments with similar characteristics and risk profiles.

All assets and liabilities of Acadian that are carried at fair value are classified and disclosed in one of the following three categories:

Level 1: Quoted market prices in active markets for identical assets or liabilities.

Level 2: Observable market-based inputs or unobservable inputs that are corroborated by market data.

Level 3: Unobservable inputs that are not corroborated by market data.

The following table provides the fair value measurement hierarchy of the grouped assets as at December 31, 2024:

	Date of Valuation	Note	Level 2	Level 3
Assets and liabilities measured at fair value:				
Timber	December 31, 2024	4		✓
Freehold land and roads	December 31, 2024	5		✓
Liabilities related to share-based compensation	December 31, 2024	14	✓	

There were no transfers made between Levels 1 and 3 or Levels 2 and 3 during the years ended December 31, 2024 and 2023.

Income Taxes

Deferred income tax assets and liabilities are determined based on differences between the carrying amounts and the tax bases of assets and liabilities and are measured using the substantively enacted tax rates and laws that will be in effect when the differences are expected to reverse. The carrying amounts of the deferred income tax assets are reviewed at each reporting date and reduced to the extent it is no longer probable that the deferred income tax assets will be recovered.

Critical Judgments and Estimates

The preparation of consolidated financial statements requires management to make critical judgments, estimates and assumptions that affect the carrying amounts of certain assets and liabilities, disclosure of contingent assets and liabilities and the reported amounts of revenue and expenses recorded during the periods. The critical estimates and judgments applied

in preparing Acadian's consolidated financial statements affect the assessment of net recoverable amounts, net realizable values and fair values, determination of functional currency and the selection of accounting policies.

The critical estimates and judgments made in the preparation of Acadian's consolidated financial statements include, among others, future prices and margins, future sales volumes, future harvest rates and sustainable yields, and discount rates utilized in the valuation of Acadian's timber, land and roads. In making estimates and judgments, management relies on external information and observable conditions where possible, supplemented by internal analysis as required. These estimates and judgments have been applied in a manner consistent with prior periods, except as included below under "Judgments affecting the reported amount of revenue and expenses from the sale of carbon credits."

Judgments affecting the reported amount of revenue and expenses from the sale of carbon credits

In determining the reported amounts of revenue and expenses from the sale of carbon credits, critical judgments were applied in determining Acadian's customer in the sales arrangement and the timing of satisfaction of performance obligations. In determining Acadian's customer, management applied judgment in evaluating the responsibilities of Acadian and the third-party sales agent in the arrangement. The most critical area of judgment was concluding that Acadian retains control of the registered carbon credits until they are transferred to, or retired on behalf of, the end customer, and that the third-party sales agent does not take control of the carbon credits. As a result, the end customer is determined to be Acadian's customer. Judgment was also applied when determining the timing of satisfaction of performance obligations, and therefore, the timing of recognizing revenue, which is when control of the registered carbon credit transfers to, or the carbon credit is retired on behalf of, the end customer. Accordingly, Acadian recognizes as revenue the gross amount paid by the end customer for the registered carbon credits and recognizes as an expense the amount that is retained by the third-party sales agent.

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognized in the period in which the estimate is revised if the revision affects only that period, or in the period of the revision and future periods if the revision affects both current and future periods. Actual results could differ from those estimates.

Adoption of New Accounting Standards

Amendments to IAS 1 Classification of Liabilities as Current or Non-current and Amendments to IAS 1 Presentation of Financial Statements re: Non-current Liabilities with Covenants

The amendments clarify the requirements on determining whether a liability is current or non-current and require new disclosures for non-current liabilities that are subject to future covenants. The amendments are effective for reporting periods beginning on or after January 1, 2024. The adoption of these amendments did not have a material impact on the consolidated financial statements.

Future Accounting Standards

Amendments to IFRS 9 Financial Instruments and IFRS 7 Financial Instruments: Disclosures re: Classification and Measurement of Financial Instruments

The amendments clarify the date of recognition and derecognition of some financial assets and liabilities, provide additional clarity and guidance for assessing whether a financial asset meets the solely payments of principal and interest criterion, add new disclosures for certain financial instruments with contractual terms that can change cash flows and update the disclosures for equity instruments designated at fair value through other comprehensive income. The amendments are effective for reporting periods beginning on or after January 1, 2026. The impact to the consolidated financial statements of these amendments is being determined.

IFRS 18 Presentation and Disclosure in Financial Statements

IFRS 18 will replace IAS 1 Presentation of financial statements. IFRS 18 will retain many of the existing principles in IAS 1 and will focus on updates to the statement of profit or loss. Key new concepts relate to the structure of the statement of profit or loss; required disclosures in the financial statements for certain profit or loss performance measures that are reported outside an entity's financial statements; and enhanced principles on aggregation and disaggregation. IFRS 18 will not impact the recognition or measurement of items in the financial statements, but it might change the line items presented in the financial statements and what an entity reports as its 'operating profit or loss'.

IFRS 18 is effective for reporting periods beginning on or after January 1, 2027. Earlier adoption is permitted. The impact to the consolidated financial statements of the adoption of this standard is being determined.

3. INVENTORIES

<i>As at</i> <i>(CAD thousands)</i>	December 31, 2024	December 31, 2023
Carbon credits	\$ 257	\$ 13,993
Log inventory	1,837	1,336
Total	\$ 2,094	\$ 15,329

4. TIMBER

Acadian's freehold timberlands are classified as a growing forest, and include timber, land under timber, roads and bridges. Timber is recorded at fair value less costs of disposal at each reporting date. The underlying land is considered a component of land, roads and other fixed assets accounted for under the revaluation method.

Timber is measured at fair value. During the year, adjustments are made to standing timber assets to reflect the change in fair value due to gains arising from growth and reductions arising from harvest as well as transfers of registered carbon credits to inventory. Average selling price less costs of harvesting and selling is applied to expected volume growth to calculate gains arising from growth, and to the harvested volume to calculate reductions arising from harvest. Once registered on a carbon registry system and made available for sale, the amount attributable to the carbon credits initially recorded within the timber asset determined by reference to the annual appraisal of the timberlands is reclassified to inventory.

On an annual basis, the fair value of standing timber assets is reassessed with the assistance of licensed independent third-party appraisers. Fair value adjustments are recognized in net income.

The following table presents the change in the carrying value of timber:

<i>(CAD thousands)</i>	
Balance as at December 31, 2022	\$ 437,365
Disposals	(1)
Transfer to carbon credit inventory	(14,113)
Gains arising from growth	36,968
Reduction arising from harvest	(22,675)
Gain from fair value adjustment and other changes	9,048
Foreign exchange	(3,762)
Balance as at December 31, 2023	\$ 442,830
Additions	6,741
Disposals	(703)
Gains arising from growth	33,136
Reduction arising from harvest	(26,097)
Gain from fair value adjustment and other changes	2,692
Foreign exchange	13,291
Balance as at December 31, 2024	\$ 471,890

On March 14, 2024, Acadian completed the acquisition of approximately 16,000 acres of timberland in New Brunswick at a price of \$9.0 million. The purchase price plus applicable transaction costs have been allocated to timber and land based on the estimated fair values at the transaction date.

Appraisals by licensed independent third-party appraisers are completed annually for NB Timberlands and Maine Timberlands to assist in reassessing the fair value less costs of disposal of the timber. The most recent appraisal was effective as at December

31, 2024. The appraisers use a combination of the discounted cash flow and sales comparison approaches to arrive at the estimated value. As at December 31, 2024, the weighting between the two methods used by the appraisers was 60% discounted cash flow approach and 40% sales comparison approach for both the NB Timberlands and Maine Timberlands (2023 – 70% and 30%, respectively).

The discounted cash flow approach relies on the determination of the net present value of expected pre-tax cash flows from the harvest and sale of timber and the development and sale of carbon credits. The expected cash flows are calculated based on the following assumptions:

Timber

- a. Annual growth is determined by multiplying the timber inventory by the annual growth rate;
- b. Annual harvest volumes are based on annual growth and reflect the long-term management plans for timber;
- c. Unit net timber revenue is based on the appraiser's analysis of historical timber prices from regional surveys, net timber prices from other private properties in the region, and prices received by Acadian over recent years. No price appreciation is assumed for the Maine Timberlands or New Brunswick Timberlands (2023 – Maine Timberlands: no price appreciation; New Brunswick Timberlands: no price appreciation);
- d. As the discounted cash flow model uses net timber revenue, specific assumptions of harvesting and delivery costs are not required. Net timber revenue is reduced by management costs reflecting the appraiser's understanding of the costs for an investor managing a property of this size, and actual historical costs incurred by Acadian; and
- e. Cash flow estimates were made for 30 years. A terminal value equal to the final year's cash flow divided by the discount rate is added to the final year of the model.

Carbon credits

- a. Carbon volumes to be developed related to ongoing projects are determined by a third-party developer in the context of an Improved Forest Management project under the American Carbon Registry's Improved Forest Management Methodology for Quantifying GHG Removals and Emission Reductions through Increased Forest Carbon Sequestration on Non-Federal U.S. Forestlands;
- b. Carbon volumes to be developed relating to future potential projects are estimated using data derived from current projects as described above, adjusted for differences in the potential project areas;
- c. Carbon volumes to be developed are based on annual growth and reflect the long-term management plans for timber;
- d. Net carbon credit revenue is based on the appraiser's analysis of carbon credit prices (\$/tCO₂e) estimated by the third-party developer and prices from other private regional carbon sequestration projects;
- e. Net revenue is net of the share of revenue retained by the third-party developer and projects costs;
- f. Annual carbon credit sales volumes are based on the annual carbon credits expected to be developed and assumes all credits registered are sold in the same reporting period; and
- g. Cash flow estimates reflect a 10-year development and sales period with costs related to 40-year reporting and verifying commitments for the project included.

The valuation models assume the continuation of existing practices with respect to silviculture and harvesting.

A pre-tax discount rate of 5.40% (2023 – 5.26%) was applied to the estimated future cash flows for NB Timberlands in arriving at net present values as at December 31, 2024. A discount rate of 4.72% (2023 – 4.33%) was applied to the estimated future cash flows for Maine Timberlands in arriving at net present values as at December 31, 2024. The discount rate is derived by estimating the weighted average cost of capital of the typical prospective purchaser, deducting an assumed long-term background inflation rate and adjusting for specific risk attributes of each of NB Timberlands and Maine Timberlands.

Because carbon credit sales are inherently riskier and more uncertain than timber production, a 400-basis-point premium (2023 – 500-basis-point) is added to the equity portion of the weighted average cost of capital calculation and the weighted average cost of capital formula is adjusted to weigh the equity rate 100%, resulting in a nominal discount rate of 10.9% (2023 – 11.55%) for the net cash flows from carbon credit sales. The reasonableness of the rate was then tested against rates extracted from recent comparable sales transactions.

Acadian's freehold timberlands are measured at fair value on a recurring basis. Management has classified the valuation of these assets under Level 3 of the fair value hierarchy and there were no transfers made between Levels 1 and 3 or Levels 2 and 3 during the years ended December 31, 2024 and 2023.

Sensitivity to Changes in Assumptions

The following table provides a description of the significant assumptions included in the valuation of the freehold timberlands:

Valuation Technique	Significant Assumption	Range (weighted average)	Sensitivity of the Assumption on Fair Value
Discounted cash flow	Discount rate	4.72% - 5.40% (5.15%)	0.25% increase / (decrease) in the discount rate would result in (decrease) / increase in fair value of \$(6.6 million) / \$8.9 million
Discounted cash flow	Net timber value per m ³ of timber sold	\$7.88 - \$110.48 (\$36.45)	5% increase / (decrease) in the net timber value per m ³ of timber sold would result in increase / (decrease) in fair value of \$20.5 million / \$(18.2) million
Discounted cash flow	Selling price of voluntary carbon credits	\$26.61 - \$32.53 (\$29.57)	10% increase / (decrease) in voluntary carbon credit selling prices would result in increase / (decrease) in fair value of \$4.9 million
Discounted cash flow	Volumes of offset tonnes generated	8.0 – 11.9 tonne/acre (10.0 tonne/acre)	10% Increase / (decrease) in the volumes of offset tonnes generated would result in increase / (decrease) in fair value of \$4.6 million
Sales comparison	Adjusted benchmark sales price per hectare	\$476 - \$3,412 (\$1,419)	5% increase / (decrease) in the adjusted benchmark sales price per hectare would result in increase / (decrease) in fair value of \$12.4 million

5. LAND, ROADS AND OTHER FIXED ASSETS

<i>(CAD thousands)</i>	Land	Roads	Bridges and Pavement	Other	Total
Cost					
Balance as at December 31, 2022	\$ 74,510	\$ 9,455	\$ 5,916	\$ 2,616	\$ 92,497
Additions	—	—	140	479	619
Disposals	(2)	—	—	(23)	(25)
Foreign exchange	(770)	(132)	(74)	(18)	(994)
Revaluations ¹	3,445	103	—	—	3,548
Balance as at December 31, 2023	\$ 77,183	\$ 9,426	\$ 5,982	\$ 3,054	\$ 95,645
Additions	2,392	52	96	1,218	3,758
Disposals	(107)	—	—	—	(107)
Foreign exchange	2,847	482	268	84	3,681
Revaluations ¹	6,400	222	—	—	6,622
Balance as at December 31, 2024	\$ 88,715	\$ 10,182	\$ 6,346	\$ 4,356	\$ 109,599
Accumulated Depreciation					
Balance as at December 31, 2022	\$ —	\$ —	\$ (2,712)	\$ (1,799)	\$ (4,511)
Depreciation for the year	—	—	(150)	(213)	(363)
Disposals	—	—	—	23	23
Foreign exchange	—	—	47	13	60
Balance as at December 31, 2023	\$ —	\$ —	\$ (2,815)	\$ (1,976)	\$ (4,791)
Depreciation for the year	—	—	(159)	(358)	(517)
Foreign exchange	—	—	(174)	(50)	(224)
Balance as at December 31, 2024	\$ —	\$ —	\$ (3,148)	\$ (2,384)	\$ (5,532)
Carrying Amounts					
As at December 31, 2023	\$ 77,183	\$ 9,426	\$ 3,167	\$ 1,078	\$ 90,854
As at December 31, 2024	\$ 88,715	\$ 10,182	\$ 3,198	\$ 1,972	\$ 104,067

1. The current year revaluation impact recorded in OCI, net of tax, is \$4.8 million (2023 - \$2.5 million)

On March 14, 2024, Acadian completed the acquisition of approximately 16,000 acres of timberland in New Brunswick at a price of \$9.0 million. The purchase price plus applicable transaction costs have been allocated to timber and land based on the estimated fair values at the transaction date.

Acadian's freehold land and roads on freehold land are accounted for under the revaluation method. These assets are carried at their revalued amounts and are not depreciated.

The freehold land and roads on freehold land are measured under Level 3 of the fair value hierarchy. The most recent date of revaluation of these assets is December 31, 2024. Valuations are completed annually with the assistance of a licensed independent third-party appraiser who uses a discounted cash flow approach to establish the fair values.

The fair value of land is based on soil expectation value analysis using a discounted cash flow approach. The valuation procedure measures the net present value of bare land if used in perpetual timber production.

The fair value of roads on freehold land is determined using a discounted cash flow approach. The valuation procedure estimates the avoided cost of future road construction, spreading the estimated current construction cost of the existing inventory of capital roads into the future. Expected future cash flows are higher to the extent that existing roads can service future timber harvests.

Sensitivity to Changes in Assumptions

The following table provides a description of the significant assumptions to the valuation of Acadian's land and roads on freehold land:

	Valuation Technique	Significant Assumption	Range (weighted average)	Sensitivity of the Input on Fair Value
Land	Discounted cash flow	Discount rate	4.72% - 5.40% (5.15%)	0.25% increase / (decrease) in the discount rate would result in (decrease) / increase in fair value of \$(12.1 million) / \$10.6 million
Land	Discounted cash flow	Stumpage value per m ³ of timber sold	\$7.88 - \$110.48 (\$36.45)	5% increase / (decrease) in the stumpage value per m ³ of timber sold would result in increase / (decrease) in fair value of \$4.3 million
Roads	Discounted cash flow	Discount rate	4.72% - 5.40% (5.15%)	0.25% increase / (decrease) in the discount rate would result in (decrease) / increase in fair value of \$0.2 million
Roads	Discounted cash flow	Construction cost per km	\$9,744 - \$60,722 (\$24,868)	5% increase / (decrease) in the construction cost per km would result in increase / (decrease) in fair value of \$0.5 million

Commitment to Purchase Equipment

As at December 31, 2024, the Company had entered into an agreement to purchase \$2.4 million of harvesting equipment which had not yet been received. The Company had also entered into a financing agreement related to the purchase. Additional information is provided in Note 11.

6. LONG-TERM DEBT

As at December 31, debt consisted of the following:

(CAD thousands)	2024	2023
Term facilities		
Due within twelve months	\$ 46,045	\$ —
Due in greater than twelve months	69,067	105,808
	\$ 115,112	\$ 105,808
Less:		
Deferred debt issuance costs	(171)	(293)
Total	\$ 114,941	\$ 105,515

Acadian has term credit facilities with MetLife Insurance Company, with maturity dates ranging from March 6, 2025 to March 6, 2030. These credit facilities include a revolving credit facility of up to U.S. \$10.0 million (the "Revolving Facility" for general corporate purposes and term credit facilities of U.S. \$80 million (the "Term Facilities"). The Term Facilities bear interest at rates ranging from 2.7% to 3.0%. The Revolving Facility bears interest at floating rates based the Secured Overnight Financing Rate plus applicable margin. Floating interest rates give rise to interest rate risk as net income and cash flows may be negatively impacted by fluctuations in interest rates. There are no scheduled repayments of principal required prior to the maturity dates of the Term Facilities.

As at December 31, 2024, Acadian had borrowed U.S. \$80 million (2023 – U.S. \$80.0 million) under the Term Facilities and U.S. \$nil (2023 – U.S. \$nil) under the Revolving Facility. U.S. \$1.7 million of the Revolving Facility is reserved to support the minimum cash balance requirement of the Term Facilities. As security for these facilities, Acadian granted the lenders a security interest over all of its assets. The facilities are subject to customary terms and conditions for borrowers of this nature,

including limits on incurring additional indebtedness and granting liens or selling assets without the consent of the lenders. The credit facilities are also subject to the maintenance of a maximum loan-to-value ratio. Acadian is in compliance with all covenants as at December 31, 2024.

On December 23, 2024, Acadian signed a term sheet with MetLife Investment Management, LLC to refinance the Revolving Facility and the portion of the Term Facility which matures in March of 2025 under essentially the same terms as the existing facilities, but with slightly higher interest rates and with a maturity date of March 6, 2030. Acadian expects to complete this refinancing during the first quarter of 2025.

Acadian has a \$2.0 million Canadian dollar denominated revolving credit facility with a major Canadian bank for general corporate purposes. This facility bears interest at floating rates based on bank prime rates plus applicable margin and is due on demand. No amounts were drawn on this facility at December 31, 2024 or December 31, 2023.

The fair value of the Term Facilities as at December 31, 2024 is \$110.2 million (2023 – \$100.5 million). The fair value of debt is determined using the discounted cash flow approach and is measured under Level 2 of the fair value hierarchy. Future cash flows are estimated based on the terms under the Term Facilities and discounted at a rate reflecting appropriate market fundamentals relating to the debt.

As at December 31, 2024, the Company had also entered into a financing agreement related to the purchase of equipment not yet received. Additional information is provided in Note 11.

7. SHAREHOLDERS' EQUITY

Acadian is authorized to issue an unlimited number of common shares. The common shares have no stated par value.

Acadian has in place a dividend reinvestment plan ("DRIP") whereby Canadian resident shareholders may elect to automatically have their dividends reinvested in additional shares. Shares issued under the DRIP are issued directly from the treasury of the Company at a price equal to the volume-weighted average trading price of the Company's shares on the TSX for the five trading days immediately preceding the relevant dividend payment date, which is typically on or about the 15th of April, July, October and January. During the year, Acadian issued 493,129 common shares in accordance with the DRIP.

The Company has in place a Normal Course Issuer Bid to purchase for cancellation up to 862,739 common shares representing 5% of the 17,254,798 common shares outstanding as of January 31, 2024, subject to regulatory approval. The NCIB will terminate February 13, 2025.

During the year ended December 31, 2024, the Company did not purchase any of its common shares.

The Company's issued and outstanding common shares are as follows:

	Number of Shares	Share Capital (CAD thousands)
Balance as at December 31, 2022	16,885,424	\$ 142,765
Common shares issued – DRIP	297,134	4,853
Balance as at December 31, 2023	17,182,558	\$ 147,618
Common shares issued – DRIP	493,129	8,649
Balance as at December 31, 2024	17,675,687	\$ 156,267

8. NET INCOME PER SHARE

Basic net income per share is calculated by dividing net income attributable to common shareholders by the weighted average number of common shares outstanding during the period. There are no dilutive potential shares.

<i>For the Years Ended December 31</i>	2024	2023
Weighted average number of common shares – basic and diluted	17,566,031	17,123,919

9. SEGMENTED INFORMATION

Acadian's presentation of reportable segments is based on how management has organized the business in making operating and capital allocation decisions and assessing performance. In the prior year ended December 31, 2023, Acadian had two reportable segments: New Brunswick Timberlands and Maine Timberlands. As a result of increased diversification in business activities, an additional reportable segment, Environmental Solutions, was reported commencing in the first quarter of 2024. The 2023 comparative figures presented have been restated to reflect this change. The Environmental Solutions segment includes business activities related to the development and sale of voluntary carbon credits.

The material accounting policies followed for the segments are consistent with those described in Note 2. Adjusted EBITDA is used to evaluate the operational performance of reportable segments. Adjusted EBITDA is defined as net income before interest, income taxes, fair value adjustments, non-cash cost of sales related to carbon credits, recovery of or impairment of land and roads, and depreciation and amortization.

Sales, Cost of sales and Adjusted EBITDA by reportable segment are as follows:

<i>For the Years Ended December 31</i> <i>(CAD thousands)</i>	2024	2023
Sales		
New Brunswick Timberlands		
Softwood	\$ 33,705	\$ 27,675
Hardwood	24,242	23,977
Biomass	1,305	3,948
Timber services and other sales	15,062	21,499
Total New Brunswick Timberlands sales	\$ 74,314	\$ 77,099
Maine Timberlands		
Softwood	\$ 9,589	\$ 9,177
Hardwood	6,333	6,063
Biomass	182	212
Other sales	1,179	889
Total Maine Timberlands sales	\$ 17,283	\$ 16,341
Environmental Solutions	24,588	37
Total sales	\$ 116,185	\$ 93,477

<i>For the Years Ended December 31</i> <i>(CAD thousands)</i>	2024	2023
Cost of sales		
New Brunswick Timberlands	\$ 49,382	\$ 51,569
Maine Timberlands	13,105	12,298
Environmental Solutions	15,433	28
Total cost of sales	\$ 77,920	\$ 63,895

<i>For the Years Ended December 31</i>		
<i>(CAD thousands)</i>		
	2024	2023
Adjusted EBITDA		
New Brunswick Timberlands	\$ 19,471	\$ 20,315
Maine Timberlands	1,620	1,929
Environmental Solutions	19,839	31
Total segment Adjusted EBITDA	40,930	22,275
Corporate expenses	(2,037)	(1,706)
Non-cash cost of sales related to carbon credits	(14,178)	—
Fair value adjustments and other	9,911	22,975
Interest expense, net	(3,121)	(3,153)
Depreciation and amortization	(517)	(346)
Income before income taxes	\$ 30,988	\$ 40,045

During the year ended December 31, 2024, approximately 48% of consolidated total sales were originated with customers domiciled in the U.S. (2023 – 32% of consolidated total sales) with the remaining balance in Canada. During the same period, approximately 43% of consolidated total sales were denominated in U.S. dollars (2023 – 25% of consolidated total sales).

Acadian sells its products to many forest product companies in North America. For the year ended December 31, 2024, sales to its largest and next largest customers accounted for 21% and 15%, respectively (2023 – 20% and 12%, respectively).

10. CAPITAL MANAGEMENT

Acadian's capital structure consists of shareholders' equity, inclusive of accumulated other comprehensive income, and the Term Facilities. As at December 31, 2024, the recorded values of these items in Acadian's consolidated financial statements totaled \$454.0 million (2023 – \$424.5 million).

Acadian's corporate finance objective is to utilize prudent levels of leverage to lower its cost of capital while minimizing financial risk for shareholders. In managing its capital structure, Acadian may adjust the amount of dividends paid to shareholders, discretionary silviculture and capital expenditures during a given period, or reevaluate Acadian's leverage ratios.

Acadian monitors its capital structure to ensure compliance with its financial covenants with debtholders.

11. FINANCIAL INSTRUMENTS

Financial Risk Management

Acadian is exposed to various risks as a result of holding financial instruments. These risks have been categorized as foreign currency risk, interest rate risk, other price risk, credit risk and liquidity risk.

Foreign Currency Risk

Changes in foreign exchange rates will impact the carrying value of financial instruments denominated in currencies other than the Canadian dollar. Acadian's most significant foreign currency risk exposure arises from its U.S. dollar-denominated debt and its investment in its Maine subsidiary, which has a U.S. dollar functional currency. Acadian has designated a hedging relationship between part of the net investment in its Maine subsidiary and its U.S. dollar-denominated debt, which mitigates the foreign currency risk arising from the subsidiary's net assets. The long-term debt is designated as a hedging instrument for the changes in the value of the net investment that is attributable to changes in the Canadian dollar/U.S. dollar spot rate.

To assess hedge effectiveness, Acadian determines the economic relationship between the hedging instrument and the hedged item by comparing changes in the carrying amount of the debt that is attributable to a change in the spot rate with changes in the investment in the foreign operation due to movements in the spot rate (the offset method). Acadian's policy is to hedge the net investment only to the extent of the debt principal.

There was no ineffectiveness to be recorded from the hedge during the year. The change in the carrying amount of long-term debt as a result of foreign currency movements during the period, as recognized in OCI, and the change in the hedged item, was \$9.3 million for the twelve months ended December 31, 2024 (2023 – \$(2.5) million). Deferred income tax recovery of \$(0.3) million (2023 – deferred income tax expense of \$0.3 million) resulting from the unrealized foreign exchange gain on long-term debt has also been recognized in OCI.

During the year ended December 31, 2024, a \$0.01 appreciation (depreciation) in the U.S. to Canadian dollar foreign exchange rate, all else being equal, would not have a significant impact on net income (2023 – no significant impact) and would increase (decrease) OCI by approximately \$1.1 million (2023 – \$1.2 million).

The objective of Acadian's foreign exchange risk management activities is to minimize foreign currency exposures that would have an impact on its operating performance. All of the NB Timberlands expenses and a significant proportion of its revenue are incurred in Canadian dollars. As such, the foreign currency risk associated with the translation of NB Timberlands revenue and accounts receivable denominated in U.S. dollars is considered immaterial. Acadian continues to monitor the impact of all foreign exchange exposure, and will consider alternatives, as required, to ensure that this risk is maintained at prudent levels.

Interest Rate Risk

Interest rate risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market interest rates. Acadian's interest rate risk exposure arises due to its credit facilities (Note 6).

As at December 31, 2024, Acadian is exposed to interest rate risk from its floating interest rate Revolving Facility, to the extent funds are drawn. For the year ended December 31, 2024, \$nil was drawn from the Revolving Facility (2023 – \$nil). A change in interest rates would have no impact on the fixed interest rate Term Facilities.

Other Price Risk

Other price risk is the risk of variability in fair value due to movements in equity prices or other market prices such as commodity prices and credit spreads. Acadian is exposed to commodity price risk as its financial performance is dependent on the sale prices of its products and the costs incurred in harvesting its timber. The markets for timber are cyclical and are influenced by a variety of factors beyond Acadian's control. Among other things, the market prices for timber can be affected by changes in regional and global demand, global supply and economic conditions, including increased competition from a variety of substitute products. Additionally, Acadian's operating expenses can be impacted by fuel cost increases.

Acadian relies almost exclusively on land transportation and is susceptible to fuel cost increases. Accordingly, commodity price variations may impact Acadian's sales, costs of sales, cash flows and net income. Furthermore, weakness in the market prices of its timber products will also have an effect on Acadian's ability to attract additional capital, the cost of that capital and the value of its timberland assets.

To manage these risks, Acadian monitors market developments in all commodity prices to which it is materially exposed. Given the nature of Acadian's operations, during periods of decreased selling prices and increased costs, Acadian will adjust harvest levels and manage variable expenditures in an effort to preserve the long-term value of Acadian's timberlands.

Credit Risk

Credit risk is the risk of loss due to the failure of a borrower or counterparty to fulfill its contractual obligations. Credit risk arises from cash held with banks and financial institutions, as well as credit exposures to customers, including outstanding accounts receivable. The maximum exposure is equal to the carrying value of the financial assets as at the consolidated balance sheet dates.

The objective of managing counterparty credit risk is to prevent losses in financial assets. Cash is invested with counterparties meeting minimum credit quality requirements. With respect to outstanding accounts receivable, NB Timberlands and Maine Timberlands each assess the credit quality of the counterparties, including customers, taking into account their financial position, past experience, and other factors. In cases where the credit quality of a customer does not meet Acadian's credit requirements, a cash deposit is received before any timber is harvested and sold. Upon evaluating all accounts receivable balances as at December 31, 2024, Acadian recorded an allowance of \$nil against outstanding receivables (2023 – \$nil). Pursuant to their respective terms, all outstanding trade accounts receivable are

current or less than 31 days overdue as at December 31, 2024, with the exception of approximately \$0.8 million (2023 – \$0.1 million).

Liquidity Risk

Liquidity risk is the risk that Acadian cannot meet a demand for cash or fund an obligation as it comes due. Acadian's objective in managing liquidity risk is to maintain sufficient reserves in order to meet operational and investing requirements at any point in time, and to maintain debt financing at levels that will allow Acadian to attract additional capital at reasonable cost. Acadian's principal sources of liquidity include cash earned from operations and the Revolving Facility of which \$nil was drawn as at December 31, 2024 (2023 – \$nil). U.S. \$1.7 million of this facility is reserved to support the minimum cash balance requirement of the Term Facilities. These sources, combined with existing cash, are expected to allow Acadian to meet its short term and long-term operating, debt service, capital expenditure and dividend requirements.

Additionally, Acadian assesses the nature and timing of discretionary payments in an effort to mitigate any impact on the financial condition or results of operations of Acadian. As at December 31, 2024 and 2023, the accounts payable and accrued liabilities and dividends payable of Acadian are due in less than 30 days.

The following tables detail the contractual maturities for Acadian's financial liabilities. The tables reflect the undiscounted cash flows of financial liabilities based on the earliest date on which Acadian can be required to pay.

<i>December 31, 2024</i> <i>(CAD thousands)</i>	Total	Less Than One Year (2025)	1 to 3 Years (2026-2028)	4 to 5 Years (2029-2030)	After 5 Years (>2030)
Accounts payable and accrued liabilities	\$ 10,922	\$ 10,922	\$ —	\$ —	\$ —
Dividends payable to shareholders	5,126	5,126	—	—	—
Long-term debt ¹					
Tranche D	21,224	21,224	—	—	—
Tranche E	24,821	24,821	—	—	—
Tranche F	46,045	—	46,045	—	—
Tranche G	23,022	—	—	23,022	—
	\$ 131,160	\$ 62,093	\$ 46,045	\$ 23,022	\$ —
Interest payments	\$ 6,566	\$ 2,196	\$ 3,572	\$ 798	\$ —

1. Represents principal of U.S. dollar denominated term facilities with a U.S. to Canadian dollar conversion rate of 1.4389.

<i>December 31, 2023</i> <i>(CAD thousands)</i>	Total	Less Than One Year (2024)	1 to 3 Years (2025-2027)	4 to 5 Years (2028-2029)	After 5 Years (>2029)
Accounts payable and accrued liabilities	\$ 9,227	\$ 9,227	\$ —	\$ —	\$ —
Dividends payable to shareholders	4,983	4,983	—	—	—
Long-term debt ¹					
Tranche D	19,508	—	19,508	—	—
Tranche E	22,815	—	22,815	—	—
Tranche F	42,323	—	—	42,323	—
Tranche G	21,162	—	—	—	21,162
	\$ 120,018	\$ 14,210	\$ 42,323	\$ 42,323	\$ 21,162
Interest payments	\$ 9,011	\$ 2,977	\$ 4,672	\$ 1,257	\$ 105

1. Represents principal of U.S. dollar denominated term facilities with a U.S. to Canadian dollar conversion rate of 1.3266.

On December 23, 2024, Acadian signed a term sheet to refinance Tranches D and E of the Term Facilities totaling U.S. \$32 million which mature March 6, 2025 as disclosed in Note 6.

As at December 31, 2024, the Company had entered into an agreement to purchase \$2.4 million of harvesting equipment which had not yet been received and is subject to a financing agreement with a term of three years bearing interest at 2.49%. The purchase will result in annual cash payments of \$0.8 million beginning in 2025.

Fair Value of Financial Instruments

The fair value of a financial instrument is the amount of consideration that would be agreed upon in an arm's-length transaction between knowledgeable, willing parties who are under no compulsion to act. Cash, accounts receivable and other assets and current liabilities approximate their carrying amounts largely due to the short-term maturities of these instruments.

As at December 31, 2024 and 2023, there were no financial assets and financial liabilities, other than liabilities related to share-based compensation, that were measured at fair value on a recurring basis.

12. INCOME TAXES

The major components of income taxes recognized in profit or loss are as follows:

<i>For the Years Ended December 31</i>		
<i>(CAD thousands)</i>	2024	2023
Current income tax expense	\$ 5,600	\$ 1,955
Deferred income tax expense		
Origination and reversal of temporary differences	3,545	9,025
Expense (benefit) arising from unrecognized tax asset	105	(369)
Total income tax expense	\$ 9,250	\$ 10,611

Acadian's effective tax rate is different from the domestic statutory income tax rate due to the differences set out below:

<i>For the Years Ended December 31</i>		
<i>(CAD thousands)</i>	2024	2023
Income taxes at statutory rate	\$ 8,988	\$ 11,613
Foreign tax rate differential	53	(73)
Expense (benefit) arising from unrecognized tax asset	105	(369)
Changes related to prior years	108	(566)
Other	(4)	6
Total income tax expense	\$ 9,250	\$ 10,611

Deferred income taxes reflect the net tax effects of temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for income tax purposes. The deferred tax expenses relate to the following:

<i>For the Years Ended December 31</i>		
<i>(CAD thousands)</i>	2024	2023
Timber	\$ 3,832	\$ 7,746
Land, roads and other fixed assets	50	4
Investment tax credits	3,522	1,631
Other	(3,754)	(725)
Deferred income tax expense	\$ 3,650	\$ 8,656

Significant components of Acadian's deferred tax assets and liabilities are as follows:

<i>For the Years Ended December 31</i>		
<i>(CAD thousands)</i>		
	2024	2023
Land	\$ (22,051)	\$ (19,547)
Timber	(111,507)	(105,038)
Roads and other fixed assets	(3,239)	(2,937)
Intangible asset	(1,781)	(1,781)
Investment tax credits	(798)	2,724
Other	1,606	(2,524)
Total deferred income tax liabilities, net	\$ (137,770)	\$ (129,103)

13. DIVIDENDS TO SHAREHOLDERS

Acadian pays quarterly dividends to the extent determined prudent by the Board of Directors. Total dividends declared for the year ended December 31, 2024 were \$20.3 million or \$1.16 per share (2023 – \$19.8 million or \$1.16 per share).

14. SHARED-BASED COMPENSATION

Board of Directors plan

Members of the Board of Directors may elect to receive all or any portion of their fees in Deferred Stock Units ("DSUs") under the Directors Deferred Stock Unit Plan in lieu of cash. Additional DSUs are received as dividend equivalents. The number of DSUs received is determined by the market value of a common share of the Company as of the director's fee or the dividend payment date, based on a 5-day volume weighted average price. DSUs cannot be redeemed until the holder is no longer a Director of the Company and can only be redeemed for cash. The redemption value of a DSU equals the market value of a common share of the Company at the time of redemption.

During the year ended December 31, 2024, the Company granted 14,626 DSUs (2023 – 14,170) and \$0.3 million (2023 - \$0.3 million) has been recognized as an expense in respect of the Director DSUs.

Employee plans

The Company has a long-term incentive program for executive officers and members of senior management which utilizes a Restricted Stock Unit Plan and an Executive Deferred Stock Unit Plan, which provide for the granting of rights to participants to receive, on a deferred basis, cash payments equal to the fair market value of the shares of the Company. Long-term incentive awards granted as Restricted Stock Units ("RSUs") vest after a three-year period. RSUs are paid out in cash following the vesting period at an amount calculated with reference to the market value of a common share of the Company.

Executive officers are eligible to receive long-term incentive awards as DSUs. DSUs are subject to a three-year vesting period and are paid out in cash only when the participant ceases to be an employee of the Company, at an amount calculated with reference to the market value of a common share of the Company.

During the year ended December 31, 2024, the Company granted 4,237 RSUs and 8,389 DSUs and \$0.3 million (2023 - \$0.2 million) has been recognized as an expense in respect of the employee plans.

15. COMPENSATION OF KEY MANAGEMENT PERSONNEL

<i>For the Years Ended December 31</i>		
<i>(CAD thousands)</i>		
	2024	2023
Salaries	\$ 782	\$ 744
Incentives	301	265
Short-term benefits	50	47
Total compensation	\$ 1,133	\$ 1,056

16. LITIGATION AND CLAIMS

On November 30, 2021, the Wolastoqey Nation (made up of six Maliseet First Nations) filed an Action in the Court of Queen's Bench of New Brunswick naming the Province of New Brunswick and the Attorney General of Canada and several other forestry and other companies operating in New Brunswick as defendants. Acadian's subsidiaries Acadian Timber Limited Partnership by its General Partner, Acadian Timber GP Inc., and Acadian Timber GP Inc. are among the defendants in this Action. The Action seeks, in part, a declaration of Aboriginal title to the land currently owned by the defendants in New Brunswick, including Acadian. Acadian filed a Notice of Intent to Defend and a Motion to Dismiss the case.

On November 14, 2024, the Motion to Dismiss was granted. Acadian has filed a Notice of Appeal surrounding certain aspects of the dismissal. The outcome of the appeal is not determinable at this time.

17. SUBSEQUENT EVENTS

Internal Harvesting Operations

Acadian established its own internal harvesting operation subsequent to year end. In January 2025, Acadian purchased several pieces of harvesting equipment for \$2.4 million and began harvesting on Acadian's Maine timberlands. Financing terms related to the purchase of the equipment are included in Note 11.

In February 2025, Acadian signed an agreement to purchase certain logging and related assets of A & A Brochu, LLC ("A & A Brochu") and its affiliates for a total price of U.S.\$4.8 million to further expand its internal harvesting operations. The assets include harvesting, trucking and road working equipment and related real estate which, combined with an established workforce, constitute a portion of A & A Brochu's logging operation in Maine. The transaction is expected to close in the second quarter of 2025.

Tariffs on U.S. Imports

Subsequent to year end, the U.S. government indicated that it would implement a 25% tariff to be applied to the majority of U.S. imports from Canada. The imposition of tariffs was delayed shortly thereafter. It is unclear if and when any changes to current tariffs will be applied and whether other factors will support a pass through of all or a part of the tariffs to the market.

Acadian's products exported from New Brunswick to the U.S. would likely be subject to any tariff, which may adversely impact the price of and demand for these products. Further, the impact of the tariff on Acadian's customers may adversely impact the price of and demand for Acadian's products sold within Canada. Conversely, the price of and demand for Acadian's products derived from our Maine Timberlands may be favourably impacted.

CORPORATE GOVERNANCE

Acadian Timber Corp. (the “Company”) and its Board of Directors are committed to working together to achieve strong and effective corporate governance, with the objective of promoting the long-term interests of the Company and the enhancement of value for all shareholders. We continue to review and improve our corporate governance policies and practices in relation to evolving legislation, guidelines and best practices. Our Board of Directors is of the view that our corporate governance policies and practices and our disclosure in this regard are comprehensive and consistent with the guidelines established by Canadian securities regulators.

Our Statement of Corporate Governance Practices is set out in full in the Management Information Circular distributed each year to all Acadian shareholders along with the Notice of our Annual Meeting. This Statement is also available on our website, www.acadiantimber.com.

BOARD AND MANAGEMENT

BOARD OF DIRECTORS

Malcolm Cockwell
Managing Director
Haliburton Forest

Bruce Robertson
Corporate Director

Karen Oldfield
Interim President and CEO
Nova Scotia Health

Heather Fitzpatrick
President and CEO
Halmont Properties Corporation

Erika Reilly
Corporate Director

Adam Sheparsi
President and
Chief Executive Officer
Acadian Timber Corp.

MANAGEMENT

Adam Sheparsi
President and
Chief Executive Officer
Acadian Timber Corp.

Susan Wood
Chief Financial Officer
Acadian Timber Corp.

CORPORATE AND SHAREHOLDER INFORMATION

HEAD OFFICE

6 Crabtree Ave.
Edmundston, N.B. E3V 3K5

Please direct your inquiries to:
Susan Wood
Chief Financial Officer
t. 506-737-2345
e. ir@acadiantimber.com

TRANSFER AGENT AND REGISTRAR

Shareholder inquiries relating to dividends, address changes and shareholder account information should be directed to the Company's transfer agent:

TSX Trust Company
P.O. Box 700, Station B
Montreal, QC H3B 3K3
t. 1-800-387-0825 (toll free in North America)
f. 1-888-249-6189
e. shareholderinquiries@tmx.com
www.tsxtrust.com

SHARE INFORMATION

Toronto Stock Exchange: ADN
Fully Diluted Shares Outstanding (December 31, 2024): 17,675,687
Targeted 2025 Quarterly Dividend: \$0.29 per share
Record Date: Last business day of each quarter
Payment Date: On or about the 15th day of each subsequent month

www.acadiantimber.com

Acadian Timber Corp.

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E3V 3K5

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ACADIAN **TIMBER**